Praxeology

The Invisible Hand that Feeds You

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Edited by Luke de Wolf



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Foreword by Rahim Taghizadegan.

Edited by Luke de Wolf.

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Preface to the 2nd Edition

Nothing stops this brain, which is just as much a blessing as a curse. About a year after this book was first released in 2023, I left the publisher I was collaborating with to start my own publishing house with my partner in victimless crime, Luke de Wolf. Luke and I decided to re-edit and re-release my entire back catalog. I had already used "Praxeology" as the basis for a half-day lecture for Plan B business school in Lugano, Switzerland, and the idea to turn the book into a full-blown university course was already percolating in the back of my mind.

To do that, the book needed to be more of a textbook and even more accessible. Praxeology is, after all, a novel and quite complex topic to most readers. My deep dive into the subject had also led me down a couple of rabbit-hole sub-caverns I felt should be mentioned in the book. Because of this, "Praxeology" became the last of my books to get the pimp-my-book treatment, and the re-editing process became a bigger task than I had first imagined.

I am glad it did, though, as the result is a much more coherent book that expands beyond the economic applications of praxeology into broader human action. The added chapters made it a tad more manifesto-like, but this is appropriate given the level of government overreach the world has experienced in recent years. Meanwhile, the freedom

movements of the world are proliferating, and more and more emancipation tools are available today than ever before in human history.

With this, I once again invite you to join Robinson Crusoe as he discovers the fundamental truths of human action and interaction. Enjoy the read, and don't forget to spread the message. And brush your teeth!

Knut Svanholm
Easter Day 2025

Foreword

Who would author a book on a tongue-twisting term that eludes the comprehension of most? Knut Svanholm! True, economists are known for their penchant for complex jargon, but Knut is far from your conventional economist, and his work is no ordinary introduction to the field. The term "praxeology" was proposed by Ludwig von Mises in an effort to distance himself from modern economics. While the word "economics" shares a similarly enigmatic Greek heritage, it has become more prevalent, albeit for all the wrong reasons: Economics has metamorphosed into a widespread charade spanning centuries, amassing wealth and influence for self-proclaimed "economists." The term projects an aura of scientific rigor, financial prowess, and expert counsel, yet its origins reveal a nefarious intent.

In Ancient Greece, oikonomía was the art of pragmatic household management. Imagine Socrates and Plato engaged in a spirited conversation over a glass of wine, exchanging insights on the optimal ways to oversee their wives, slaves, and livestock. During the era of absolutist mercantilism, the concept evolved to encompass the belief that a paternalistic ruler should similarly govern "his" political dominions, maximizing the productivity of “his” human resources. As modern governance emerged, paternal affection dissipated, and the primary objective became the augmentation of wealth and authority for those in managerial and expert roles. It is

thus no wonder that the Soviet Union, with its bureaucratic machinery, boasted the highest proportion of economists among its workforce in history.

Praxeologists, by contrast, approach human beings on a more equitable basis. We may not consistently act in an economical or economizing manner, but we must all make choices, employing uncertain means to achieve our varied and subjective goals. Admittedly, the term "praxeology," translating to the "logic of human action," may be somewhat ambitious. One could fill volumes on either "logic" or "human action" – indeed, Ludwig von Mises' magnum opus bears the very title Human Action. In this context, "logic" or "science" refers to a systematic study employing reason while diligently circumventing fallacies, biases, and personal interests that could otherwise obscure our judgment.

In an age where trusting one's own reason is often viewed as contrarian, praxeology has occasionally been labeled dogmatic. This characterization, however, is far from accurate. In his old Vienna circle, Ludwig von Mises encouraged critical discourse and refrained from adopting the persona of a prophetic guru. In his seminal work, Human Action, Mises acknowledges that he "can never be absolutely certain that his inquiries were not misled and that what he considers as certain truth is not error." Consequently, he emphasizes the importance of subjecting his theories to continuous critical reexamination. This intellectual humility starkly contrasts the contemporary landscape, where so-called "scientific experts" readily lend their prestige to politicians, empowering them to "fix" the lives of others while struggling to maintain order in their own affairs.

The Austrian School of Economics has always championed an open-minded approach, neither sanctioning nor censoring any research method. Ironically, it was the proponents of the

once-dominant historicism and later positivism who sought to marginalize praxeology within the economic profession and academia. At its core, praxeology embraces the intricacies of human phenomena, acknowledging that real human beings are prone to error, capable of learning and adapting, driven by subjective desires, and compelled to make choices. This unwavering commitment to realism is often misconstrued as axiomatic dogmatism.

Praxeology does not attempt to predict the future state of the world through a priori axioms. Instead, it employs deduction to distill core insights from human reality into a skeletal yet universal framework, unbiased and clear, while remaining sufficiently meaningful to facilitate the interpretation of data. Admittedly, much of contemporary "Austrian Economics" is characterized by repurposing second-hand ideas for ideological conflicts. However, it would be unjust to attribute this to praxeology itself. The fact that Mises championed liberty is not a shortcoming but a testament to his virtue.

Praxeology aims to sidestep another pervasive danger inherent in economics. In an era dominated by short-term materialism, the prevailing mantra is: It's the economy, stupid! Consequently, the focus narrows to the pursuit of money – not merely acquiring wealth but amassing ever-increasing fortunes. This mindset, far from being a praxeological axiom, is symptomatic of a distorted monetary system. The concept of "making money" has come to signify outpacing the Cantillon effect (a crucial notion explored in this book). The primary objective of "making money" is no longer centered around delivering value to others or performing one's job with diligence and efficiency. Instead, it has devolved into a relentless race to multiply existing wealth faster than it loses purchasing power.

This artificially induced financial frenzy greatly benefits another facet of the "economics" charade — generating demand for "market expertise" that bears no connection to genuine proficiency in real markets. This misguided masquerade involves inflating asset values under the guise of financial advice. These "applied" economists rarely face accountability for their predictions. If one were to apply mainstream economics to itself, the scarcity of empirical evidence or credible models supporting its purported predictive prowess would be astonishing. In reality, entrusting one's fate to the roll of the dice may prove a far safer gamble than heeding the investment counsel of economists.

Far more crucial than individual wealth is the "wealth of nations," humanity's transition from the Malthusian trap to the leisure that underpins higher culture. This is the foundational question addressed by the most developed branch of praxeology: catallactics. The etymology of this perplexing term is delightfully charming, originating from a Greek verb meaning both exchange and transforming foes into friends. Catallactics seeks to comprehend why and how cooperation between strangers forges enduring societal bonds, shifting from zero-sum redistribution to positive-sum wealth creation. It begins with the humility of marveling at the miracle of decentralized production rather than taking its fruits for granted. Frédéric Bastiat, an early praxeologist and opponent of French absolutism, referred to this phenomenon as the miracle of "Paris being fed." The accomplishment is not the work of a single invisible hand but the coordination of millions of visible, industrious hands—invisible only to the privileged Parisian who views his sustenance as a birthright. Early economists, ensconced in the grand palaces of the powerful, failed to appreciate this miracle, perceiving bountiful goods as preexisting resources merely awaiting distribution to deserving recipients. For them, the matter was

one of palace logistics, akin to the temple economy overseen by ancient god-kings.

Ludwig von Mises recognized that neither human rights, paper edicts, nor intellectual trends could guarantee the sustenance of millions who reside in crowded cities, far removed from farmlands, due to the division of labor and protection against marauding invaders. He successfully averted a blockade of Vienna that would have doomed its inhabitants to starvation. More significantly, he contributed to the argument against the central planning responsible for claiming millions of lives in the 20th century. Catallactics leads to an appreciation of peaceful and borderless human collaboration, not out of sentimentality or a desire to "save humanity," but through an understanding of the logic underpinning positive-sum exchange.

Alas, most economic intuitions still adhere to the archaic zero-sum mindset. A majority of academic economics continues to focus on the allocation of goods and services, with its mercantilist "balances of trade," "optimal" taxes, and expert interventions to address "market failure." Ultimately, these notions perpetuate the fallacy of a caste of rational palace economists presiding over an irrational populace.

To all that, the study of praxeology offers a refreshing reprieve: a humble inquiry into the acts of real human beings like you and me, devoid of the pretensions associated with exact formulas, elite influence, and get-rich-quick stratagems. In an increasingly crazy world of make-believe, grant yourself some much-needed respite and delight in accompanying Knut on a captivating journey down the praxeological rabbit hole.

Rahim Taghizadegan, April 13th 2023

(Last Austrian praxeologist in the direct tradition)

Don't bite the invisible hand that feeds you.



"I learned to look more upon the bright side of my condition, and less upon the dark side, and to consider what I enjoyed, rather than what I wanted: and this gave me sometimes such secret comforts, that I cannot express them; and which I take notice of here, to put those discontented people in mind of it, who cannot enjoy comfortably what God has given them, because they see and covet something that he has not given them. All our discontents about what we want appeared to me to spring from the want of thankfulness for what we have."

Action

The Scientific Method

Science is the process of systematically organizing knowledge through testable explanations and predictions. It allows us to understand the world, but not all sciences are alike. The sciences most commonly taught in schools — such as physics, chemistry, biology — are built on observation and experimentation. These are known as **a posteriori** sciences, meaning they rely on empirical testing.

While undoubtedly useful, empirical sciences can never fully describe reality. They provide models of how things work, but a model is not the thing itself. No matter how detailed a map is, it can never become the actual territory. A perfect model of the universe would have to *be* the universe itself.

However, there exists another kind of science: **a priori** science. Unlike *a posteriori* knowledge, which comes from experience, *a priori* knowledge is derived purely from logical reasoning. It does not require observation or experimentation to be known. The most familiar *a priori* science is mathematics. We do not need to test whether 2 + 2 = 4 in the real world because we know it to be true through reason alone.

But mathematics is not the only *a priori* science. There is another, far less known, yet equally important subject every person on Earth should be familiar with: **Praxeology — the science of human action**.

The Logic of Human Action

In Daniel Defoe's *Robinson Crusoe*, we find the purest example of human action. Early in the book, its protagonist, Robinson, finds himself marooned on an island and is forced to rely solely on himself and his own actions for survival. Crusoe's story teaches us how all economics begins with a single individual facing scarcity, making choices, and acting purposefully to improve his condition.

Like Robinson Crusoe, every human must make sense of their situation and act with purpose. But how do we truly understand human action? This is where praxeology comes in.

Praxeology is to the subjective what mathematics is to the objective. It studies purposeful action — decisions made by individuals to achieve goals. Most people (including most scientists) assume the social sciences belong to the *a posteriori* realm, requiring data collection and empirical testing. But what if the study of human action is different? What if its fundamental principles can be known *without* observation, simply by understanding what it means to act?

Now imagine Robinson Crusoe, stranded alone on his island. At first, he has no knowledge of his surroundings. He must explore, test, and observe to learn whether the island is inhabited or dangerous. This is empirical, *a posteriori* knowledge; Robinson must gather information from experience.

However, Robinson also possesses knowledge that requires no observation whatsoever. He knows that green is a color, not because he has seen it, but because color itself is a concept that exists *a priori*. More importantly, Robinson knows that all of his *actions* are purposeful. If he builds a shelter, it is because he prefers having one over not having one. If he gathers food, it is because he values eating over starving. These choices are *not* derived from scientific testing but from the very nature of action itself.

This is the core of praxeology: **human action is always purposeful.** People act to change their circumstances in ways they believe will improve their condition. This principle is not something we must test — it is logically undeniable.

Why Praxeology Rejects Empiricism

Critics of praxeology argue that because it does not rely on observation and experimentation, praxeology rejects the scientific method. They claim that praxeology cannot be considered an actual science since it does not even allow empirical testing. However, praxeologists argue that empirical methods are *insufficient* to study human action.

The physical sciences rely on repeatable experiments. If we drop a ball, it will always fall due to gravity. We always get water if we add two hydrogen atoms to an oxygen atom in the right conditions. The laws of nature are *constant and predictable*. Human action, however, is *not* repeatable in the same way. Every decision a person makes is shaped by unique circumstances such as preferences, knowledge, emotions, and external conditions. No two economic transactions, political movements, or personal choices are identical. Because human action is not governed by strict physical laws, attempting to study it through empirical testing is inherently flawed.

For example, entrepreneurs do not need scientific experiments to know that satisfying customer demand is necessary for success. They act based on logical deductions about human behavior. Praxeology predicts this.

Economics inevitably becomes biased when relying solely on data and statistics. Subjective choices — what to study, which groups to examine, and which behaviors to highlight — are shaped by each individual's personal perspectives and political agendas. Government policies based on economic forecasts often fail because no data set can capture the complexity of human choice. A centrally planned economy assumes predictable behavior. In reality, however, individuals make subjective decisions that cannot be accurately measured in a lab.

Praxeology removes this bias entirely by working from undeniable **first principles**, also known as **axioms**. It does not study *what* people choose but is instead grounded in the fact that *people always choose*. Every action is a decision between alternatives. Every decision reflects a preference, even if that preference is subconscious. This is not a hypothesis but a logical conclusion based on irrefutable truth.

The laws of human action are necessarily true and universal because they're logically implied by simple, indisputable facts. In arguing against these facts, you prove them to be true! One example is the fact that you control your own body. In arguing against this fact, you must use your vocal cords, tongue, and lips to make sounds that form words and sentences. Doing so demonstrates that you *do* control them, thereby proving yourself wrong.

Knowing the basics of praxeology is crucial to understanding the world you live in, and it can fundamentally change how you choose to spend the days you still have left on

this Earth. Praxeological axioms are timeless truths applicable to all human beings, regardless of sex, race, creed, or color.

While empirical methods can provide some insights into human behavior through repeated testing, they cannot establish universal laws of economics the way praxeology can. Every observed pattern is contingent upon specific historical, social, or political contexts, whereas praxeology derives truths that hold in all circumstances.

The Fundamental Axiom of Human Action

At the heart of praxeology is a single, fundamental truth so self-evident that denying it only reinforces its validity:

> ***Human action is purposeful behavior.***

To deny this statement is impossible. If you attempt to argue against it, you are engaging in purposeful action, proving the axiom to be true.

Purposeful action means acting with *intent*. It does *not* include unconscious reflexes like pulling your hand away from a hot stove or involuntary movements like sneezing. Animals act on instinct, but humans evaluate options and make decisions. Even choosing to do nothing is a form of action. If you decide to save money instead of spending it, you are still making a choice toward a future goal.

Since all human actions are intentional, it follows that people act to improve their condition. Every choice is made because the individual believes, at that moment, that it will lead to a preferable outcome.

Even self-destructive behavior follows this logic. A drug addict, for instance, may act against their long-term health, but their decision to take the drug is rational *to them* because they believe it will satisfy their immediate desire, which, as their choice of action clearly indicates, was more important to them at the moment they took the drug than anything else.

This is what praxeology means when it states that human action is always **rational**. Rational does not mean that people always make good choices — only that every choice is made with a purpose.

Action and the Pursuit of Happiness

At the core of every action is the desire to remove uneasiness. Before anyone acts, three things happen:

1. A person perceives a problem or dissatisfaction.
2. They imagine a future where this felt uneasiness is removed.
3. They believe that a specific action can achieve that goal.

Only when all three of these conditions are met does an action take place. If a person is completely content, they will not act. If they cannot imagine a better state, they will not act. If they do not believe their actions will help, they will not act.

This means that all human action, at its core, is an attempt to reach a *better state of being.* A personal vision of happiness. What constitutes happiness differs for each individual, but the process of acting to achieve it is universal.

There is also a temporal element to human action since most actions cannot happen simultaneously. Every human being must act. Every human being must evaluate their options at every given moment and choose what to do next. Equally important is perceived human **inaction**.

For instance, saving money for later use doesn't require you to do anything but wait. But it is still purposeful behavior. Thus, saving is a human action. Purposeful behavior distinguishes humans from other animals and allows for **civilization** to arise. Purposeful inaction very much also counts as action in a praxeological sense.

Even in very emotional states, we can act upon our instincts or quell them and choose a more diplomatic route. For instance, when arguing with your spouse, you can give in to the urge to leave the room, slamming the door shut, or take a deep breath and say, "I hear what you're saying, darling." Before choosing one action over another and actually doing something, we feel uneasy and imagine how our spouse will react to each available action. Then, and only then, do we choose whatever action we believe will lead to the least bad outcome. The critical thing to remember is that we always have a hierarchy of wants and wishes in our minds and always choose one action above all others at each given moment.

This "value hierarchy" and our mind's reaction to it always precedes every deliberate action. Praxeology illuminates this philosophical insight and helps us establish the boundaries of knowledge about other human beings. We can, in fact, never know the true motives behind another human's actions.

Why Praxeology Matters

Praxeology is the logical study of human action, free from the biases of empirical social science. It provides a lens through which we can objectively understand economics, politics, and human behavior.

Unlike psychology or sociology, praxeology does not ask *why* people act but examines *how*. By understanding that all human action is purposeful, we gain a deeper awareness of human decision-making, economics, and the fundamental nature of civilization.

Praxeology assumes that humans have free will, an assumption that, as Christopher Hitchens once observed, we have no choice but to accept. Deductive reasoning is used to examine the means chosen to attain specific ends sought by the actor and the implications of selecting certain specific means over others.

Praxeology is not just an academic theory. It's a way to understand why we act. Whether making financial decisions, voting, or planning for the future, every action follows universal laws of choice and trade-offs. To see the world through praxeology is to see it as it truly is — not as we wish it to be.



"I have been, in all my circumstances, a memento to those who are touched with the general plague of mankind, whence, for aught I know, one half of their miseries flow: I mean that of not being satisfied with the station wherein God and Nature hath placed them."

Means and Ends

Justifying Means and Ends

Praxeology admits that all human value judgments are entirely subjective and dynamic. Recognizing this fact unlocks several key insights, leading to conclusions that people never arrive at if they falsely believe that value can be intrinsic to physical objects.

To act purposefully is to pursue a goal by using available **means**. In praxeology, an **end** is an imagined state in which a specific uneasiness has been removed. A means is any resource, tool, or action deliberately used to achieve an intended end.

The phrase "the ends justify the means" holds no meaning in praxeology, as a *means* has no purpose apart from the *end* it serves. It is human intention that determines whether something is a means at all. A roadblock is an obstacle to a truck driver but a valuable tool for someone trying to prevent the passage of trucks. The same object serves different roles depending on the actor's intent.

Praxeology does not analyze the morality or desirability of people's goals — it solely focuses on *how* individuals choose

ends and apply means to achieve them. Unlike psychology, which examines why people desire certain ends, praxeology focuses on the *logical structure of action itself*. This distinction allows praxeology to remain **value-free**, studying human behavior without subjective bias.

Value Through Action

At any given moment, an individual selects from a range of possible actions. What action the person chooses depends on what ends they seek and what means they believe will most efficiently bring them to those ends. The act itself demonstrates the actor's value judgment and which option they deem most valuable to reach their goals at that moment. In other words, it shows how the actor weighs their alternatives. The fact that there's a choice implies that we can build an ordinal scale referencing an actor's values.

For example, if Robinson Crusoe chooses to fish in a freshwater pond, it means he values fishing more than gathering firewood, hunting, or simply resting, at least at that moment. However, had he already caught a fish and instead chose to stay home and cook it, we could not determine whether he would have preferred fishing over staying home under different circumstances. We can only know that given these specific conditions, he ranked cooking the fish higher than going out to catch another.

If Crusoe instead had the option to spend the day weaving a fishing net, he would have to weigh the short-term benefit of immediate fishing against the long-term efficiency of future catches. His choice at that moment would reveal what he values more: immediate consumption or future productivity.

This insight is crucial: **values are revealed through action, not words.** Someone may claim to cherish a particular ideal, but their choices expose their actual preferences. Only through *action* do individuals demonstrate what they genuinely prioritize.

The Role of Time in Action

The concept of change implies a temporal order to human action. In other words, no action can occur without the passage of time. We must constantly choose what activity to prioritize because everything we do requires time.

Time is always scarce. Unlike physical goods, time cannot be accumulated, stored, or retrieved once spent. Even in an imaginary world of unlimited resources, individuals would still be forced to decide how to allocate their time.

A person with a high **time preference** prioritizes immediate gratification, while someone with a lower time preference is willing to delay satisfaction for greater benefits later. Investors saving for retirement, for example, demonstrate *low* time preference, while someone who immediately spends every paycheck has a *high* time preference.

Time for some definitions! In praxeology, time is understood as follows:

- **The past** is the time before an action occurs.
- **The present** is the span during which an action takes place.
- **The future** is the time after the action is complete.

Purposeful behavior is inherently forward-looking because human action always aims at future outcomes. In physics, "the present" refers to a particular point in space-time. In praxeology, however, "the present" is not an instant but a **continuous process of perceiving uneasiness, forming a plan, and acting to remove it.** Until an individual takes action, their uneasiness persists.

Because time is scarce, every action comes with an opportunity cost — choosing one thing means sacrificing another. No one can simultaneously eat, sleep, and read a book. Actions can happen in rapid succession, but praxeology does not allow multitasking. An action can serve multiple purposes, but between two actions, one must always necessarily follow the other. Even in a world of boundless abundance, action still requires prioritization.

Why Value Scales Are Always Changing

Since individuals act in response to their circumstances, **value judgments are dynamic**. A person who prefers bananas over apples today may still choose an apple tomorrow. Since the factors influencing decisions constantly shift, mathematical predictions of human behavior range from unreliable to entirely futile.

Traditional economics, because it is treated as an empirical science, falsely assumes that human preferences can be quantified like the laws of physics. But human choices are **ordinal, not cardinal** — they can be ranked in order of preference but never assigned absolute numerical values.

For example, if someone ranks coffee above tea but tea above juice, we can conclude that they prefer coffee the most. However, we cannot numerically quantify *how much*

they prefer coffee over tea. Only the order matters, not the intensity. This is why praxeology uses ordinal, not cardinal, value scales. Furthermore, this is also why praxeology does not attempt to predict how much demand will change in response to a price shift. We can logically deduce that a fall in demand for a good will lower its price, but we cannot predict the exact degree of the change. Unlike physics, economics cannot use fixed formulas to predict human behavior.

Action and Uncertainty

If the universe were utterly deterministic and all future events were inevitable, choice would be meaningless, and free will would not exist. Life would resemble a movie rather than a video game.

The natural sciences, in general, and physics, in particular, can predict what will happen in the future after a definite set of events. But they can't foresee things about nature that we haven't yet figured out, nor how humans will act of their own free will. Unlike physics, which studies fixed natural laws, praxeology studies human action, which is shaped by subjective values and unpredictable choices. The former relies on precise measurements, while the latter uses **logical deduction** to understand behavior.

One phenomenon physics can teach us about is entropy. Entropy is a measurable physical property that describes disorder, randomness, or uncertainty. In a purely deterministic universe — one where free will could not exist — entropy itself would be impossible. So physics has, in this sense, proven *a priori* that free will *can* exist by introducing us to the phenomenon of entropy.

Since human action occurs in an uncertain world, we interact with the future in three fundamental ways:

1. **Gambling** – Acting when outcomes are random and beyond one's control.

2. **Speculating** – Acting based on patterns, probabilities, and available information.

3. **Engineering** – Acting to control as many variables as possible to ensure a desired outcome.

All human action falls into one or more of these categories. However, society itself *cannot* be engineered like a machine. Since every individual has unique goals and desires, no leader, no matter how powerful, can control human action as if directing a system of gears and levers.

Entrepreneurs, like speculators, operate under uncertainty. They must anticipate consumer needs without knowing the future with certainty, which is also why central economic planning fails — no bureaucrat, no matter how well-informed, can replace the decentralized decision-making of individuals acting in response to uncertainty.

Political leaders may be able to influence public behavior but cannot dictate personal preferences. Attempts to plan entire economies, predict social behavior with precision, or control human action at scale will always fail because individuals act *according to their own values*, not those imposed by an external authority.

The will of a president or a prime minister can never replace the wants and needs of an individual human being. To act at all, an individual *must* believe that whatever means he chooses at any moment will bring him closer to his desired ends, and

no leader can force that belief. Politics can influence people's thoughts, but a person can never fully function as a mere cog in another human's machine. One may engineer an army of robots, but one cannot engineer a society of free-thinking individuals.

The Limits of Economic Prediction

Praxeology allows us to predict the logical **direction** of economic outcomes but not their precise **magnitude**.

For example, if a government prints more money, we can, with absolute logical certainty, say that the purchasing power of that money will decline. However, we cannot predict precisely *how much* it will decline because each individual's response is subjective and influenced by countless factors. Our prediction can lead to a logical set of outcomes, but these expected outcomes can only be **qualitative**, not **quantitative**.

This is where most economic theories fail — they assume that human behavior can be modeled with mathematical precision. However, prices, wages, and demand are not fixed facts but expectations shaped by *individual choices.*

Governments often attempt to forecast inflation based on past data, assuming consumer behavior remains stable. Yet, as soon as people anticipate inflation, they change their spending habits, rendering these forecasts unreliable. For this reason, praxeology rejects numerical forecasting altogether. Human behavior is too dynamic and variable to be reduced to fixed equations.

Why Means and Ends Matter

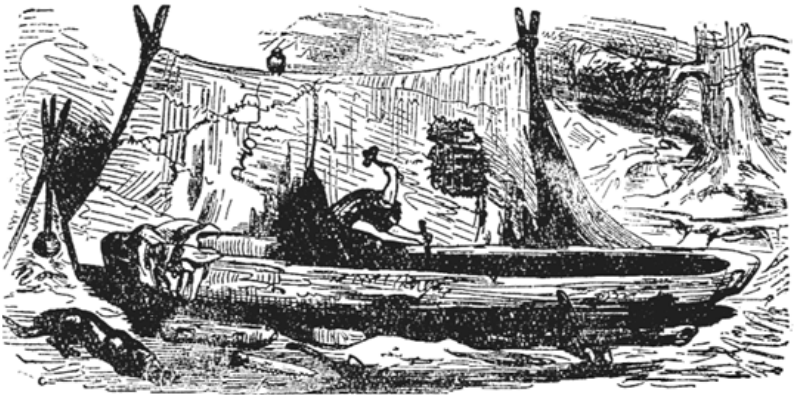
Every action is an attempt to move from a state of uneasiness to a more desirable condition. This pursuit requires means that are always constrained by time and uncertainty.

Praxeology teaches us that human action is purposeful, value-driven, and forward-looking. It cannot predict exact outcomes, but it provides the *logical framework* to understand why people choose as they do and how individuals make decisions in every aspect of life.

For instance, an entrepreneur must weigh whether to reinvest profits into expansion or take immediate profits. In personal finance, an individual must decide whether to spend today or save for the future. In both cases, the concept of means and ends helps clarify decision-making.

Whether analyzing market trends, personal finance, or political policies, the principles of means and ends apply universally. Thinking praxeologically means seeing the world clearly — recognizing trade-offs, opportunity costs, and, first and foremost, the *subjective nature of value*.

In the following chapters, we will explore these ideas further, uncovering how the principles of human action shape markets, trade, and cooperation.



"Then I reproached myself with my unthankful temper, and that I had repined at my solitary condition; and now what would I give to be on shore there again! Thus, we never see the true state of our condition till it is illustrated to us by its contraries, nor know how to value what we enjoy, but by the want of it."

Returns

The Subjectivity of Utility

If water is essential for survival while diamonds serve no practical function, why are diamonds so much more expensive? For centuries, economists struggled with this paradox until they discovered a fundamental principle of human decision-making: **value is determined at the margin.**

In economic terms, **utility** refers to the satisfaction a person expects to gain from using a good to remove uneasiness. Since this depends on personal judgment, utility is inherently *subjective* and not tied to a good's physical properties but to how an individual values it in a given moment. A good's physical properties remain constant, but its usefulness depends on individual needs and context. A fish, for example, has a fixed nutritional value, but its *utility* to Robinson Crusoe depends on his circumstances. If he is starving, its value is high. If he has already eaten, it is lower.

However, utility is not simply about need but also about **perceived usability**. If Robinson does not know how to prepare the fish, he cannot extract any benefit from it, making it useless despite its nutritional content. This illustrates a key economic principle: **value is not in the object itself but in**

its usefulness to the individual. As with all value judgments, since utility is subjective, it can only be ranked *ordinally*, never *cardinally*.

Measuring Utility at the Margin

Because resources are limited, people prioritize how they use each additional unit. This prioritization occurs **at the margin**, where each choice focuses on **the next unit**, not the total supply.

Imagine a scenario where Robinson Crusoe has three identical coconut bowls:

- He uses the **first bowl for drinking water**.
- The **second stores his utensils**.
- The **third is decorative**.

Suppose Robinson drops and breaks his drinking bowl. Does this mean he stops drinking water? Of course not. He simply repurposes the least essential bowl to ensure his most important need, hydration, is still met. This simple action highlights the key principle of diminishing marginal utility: as each unit serves a progressively less urgent purpose, losing one forces a reallocation, reinforcing that **value is always determined at the margin.**

The **Law of Diminishing Marginal Utility** is a fundamental principle of praxeology. Unlike psychological theories, it does not rely on laboratory experiments, surveys, or behavioral assumptions. Instead, it is a logical deduction derived from the axiom of action — the self-evident truth that humans act

with purpose. This means the law is always true, regardless of empirical observation. We do not need scientific testing to verify its validity because the law follows logically from human decision-making.

Moreover, this law explains why prices are not mechanically set by supply and demand. Instead, individual preferences determine what someone is willing to pay at the margin. Price tags reflect past transactions, but the price of a good today ultimately depends on what the next buyer is willing to pay. When setting a new price, a producer does not simply use past sales data. He estimates what the next buyer will be willing to pay and weighs that against what he is willing to sell for.

Consumer Goods vs. Producer Goods

Goods can be classified into two categories:

- **Consumer Goods** – Goods that **directly satisfy an actor's needs**.
- **Producer Goods** (**Factors of Production**) – Goods used to **produce consumer goods**.

A good's classification depends on its use, not its physical form. Bread and cheese, for example, are *consumer goods* when eaten alone but become *producer goods* when combined to make a sandwich.

To determine the utility of any unit of a **homogenous** consumer good, we must consider three principles:

1. **Every human action is an exchange.** Choosing one end means forgoing another. The cost of selecting one end is determined by what was sacrificed.

2. **Action determines value.** What one does must logically be what one thought was most urgent at that moment.

3. **Preferences,** like utility, can be **arranged ordinally but not cardinally.**

Ranking an actor's choices ordinally reveals a clear scale in which each subsequent end is less important than the previous since the most urgent want is always satisfied first. Since a person's value scale is always ordinal and never cardinal, utility cannot be measured arithmetically. However, the utility of producer goods follows a different principle.

The Law of Diminishing Returns

For any combination of *producer goods*, there is an optimal balance. Increasing only one factor of production beyond this **optimal level** leads to diminishing returns, meaning each additional input produces less and less output. By *optimal*, we mean in the context of serving as a means for reaching a particular end and nothing else.

For example, suppose Robinson Crusoe wants to build a raft using driftwood and rope:

- **Too little driftwood**, and the raft won't float.

- **Too little rope** and tying the raft together will be impossible.

- **Too much driftwood** and the raft becomes too heavy to maneuver.
- **Too much rope** also adds unnecessary weight.

The **Law of Diminishing Returns** tells us that every production process has a point of maximum efficiency: an optimal balance where inputs create the greatest output. If one input increases too much without adjusting the others, efficiency declines instead of improving.

Just as the *Law of Diminishing Marginal Utility* tells us that each additional unit of a consumer good is valued less, the *Law of Diminishing Returns* tells us that increasing only one factor of production will eventually lead to declining efficiency.

The Diamond–Water Paradox Explained

Now that we understand *marginal utility*, the explanation for the **diamond-water paradox** becomes clear. Since people's basic water needs are already met, an additional unit provides little extra value. In contrast, diamonds are *scarce*, and their perceived utility is high. Not necessarily because of their use-value but because people expect to trade them for something else of value.

However, context is everything. A person drowning in water does not need more water, whereas someone stranded in the Gobi Desert would gladly trade all their diamonds for a single bottle of Perrier.

This final example reveals a fundamental truth of economics: **value is never intrinsic**. Whether it's diamonds, water, or any other good, value is determined by context,

scarcity, and personal needs. Every decision we make is a **trade-off**, where we weigh the value of one more unit **at the margin**.



"All this labor I was at the expense of, purely from my apprehension on the account of the print of a man's foot which I had seen; for as yet I never saw any human creature come near the island, and I had now lived two years under these uneasinesses, which indeed made my life much less comfortable than it was before."

Labor

Labor and Leisure

Whenever humans use their energy and abilities to produce goods or provide services, they engage in **labor**. In praxeology, labor refers to the **intentional application of human effort in production**. It is one of the fundamental components of economic activity alongside *producer goods* (the materials and tools used in production). However, just like physical resources, human labor is *scarce* — there is only so much energy a person can expend in a given time. Because of this limitation, labor must always be **economized,** like any other scarce resource.

When a person is not engaged in labor, they are at **leisure**. In praxeology, *leisure* is the ultimate goal of all action, as it allows for the direct enjoyment of goods and services. The distinction between labor and leisure is crucial: people only work because they value the expected rewards of *labor* more than the satisfaction of immediate *leisure*. Every moment, individuals make trade-offs between forgoing immediate comfort to achieve long-term goals or choosing instant gratification at the expense of future benefits.

For example, a person may choose between writing a book and playing video games. Or between mowing the lawn and taking a nap. Labor always involves sacrifice, as the effort required comes with psychic costs and, at the very least, requires giving up leisure in the present.

However, while leisure provides **instant gratification**, labor is driven by **delayed rewards**. People only continue working if they believe the future benefits outweigh the **disutility of labor** — the burden and effort associated with working. These economic trade-offs are not just theoretical but play out in real-world scenarios all the time, as well as in fictitious ones. Robinson Crusoe, for instance, had to make these choices daily, balancing labor and leisure in a constant fight for survival.

Leisure as a Consumer Good

Since leisure immediately gratifies, it is best understood as a consumer good. In many ways, leisure is the most universally desired consumer good, as it represents the ultimate purpose of all labor. When people engage in leisure, they consume the present moment itself, often referred to as *killing time*. Because of this, leisure follows the *Law of Diminishing Marginal Utility*:

1. The **first unit of leisure** satisfies the most urgent need (resting after exhaustion).
2. The **second unit** satisfies a secondary desire (entertainment or relaxation).
3. Each **additional unit** satisfies a progressively *less urgent* want.

This means that the more leisure a person enjoys, the less urgent the next unit of leisure becomes. Eventually, a point is reached where an individual prefers to work rather than continue idling, as leisure loses its marginal utility compared to the rewards of labor.

The Disutility of Labor

Labor is unique because, unlike leisure, it requires sacrificing immediate satisfaction for future gain. Because of this, the longer a person continues to work, the more the **disutility of labor** increases. The disutility of labor refers to the increasing psychic cost of working as each additional unit of effort is exerted.

To put it simply:

- The longer a person engages in labor, the more leisure they must forgo.
- The greater the forgoing of leisure, the more costly labor becomes to the worker.

This is the *inverse* of diminishing marginal utility:

- Each additional unit of labor brings a higher disutility.
- Each additional unit of a consumer good brings a lower marginal utility.

The degree to which individuals tolerate the disutility of labor varies greatly. Some people enjoy their work and feel minimal discomfort, while others experience high levels of

disutility. The nature of the work, the motivation behind it, the level of exhaustion, and the rewards expected all play a role in determining how much a person is willing to work before stopping.

The Three Limitations of Labor

Since labor follows the same economic laws as all scarce resources, its ability to increase production is limited by three key factors:

1. The **total number** of people available for labor.
2. The **ability of each worker**.
3. The **degree of disutility** experienced by the worker.

Each of these factors directly affects the **total output of labor**:

- **A larger population** means a greater supply of labor, increasing overall productivity.
- **Higher individual ability** (skill, intelligence, and efficiency) increases the output per worker.
- **Lower disutility of labor** (when people tolerate work better) allows for longer working hours and greater persistence.

Some people are strong and sturdy, thus suited for physical tasks. Others are nerdy and intelligent, and, therefore, better at solving theoretical problems. Some are industrious, efficient, and professional. Others work in the public sector.

Some are mentally and physically disabled, severely limiting their ability to work efficiently. Also, as explained, how much disutility labor brings to a person is entirely subjective - some value leisure more than others.

Since labor is a *scarce good*, it is always allocated to the most valued ends first. Just as with other scarce resources, individuals must decide how much work is worth doing, balancing the increasing disutility of labor against the expected future benefits.

Technology and Labor

A common misconception is that technological advancements cause unemployment. This belief misunderstands the role of technology in labor markets. Tools and machines *do not* replace labor — they **enhance labor efficiency**.

For example:

- The **printing press did not eliminate jobs** — it created new opportunities in publishing, writing, and distribution.
- The **automobile replaced horse-drawn carriages** but also led to millions of jobs in manufacturing, repair, logistics, and sales.
- **Factory automation eliminated repetitive manual tasks** but allowed workers to move into more skilled positions such as machine operation, programming, and quality control.

Technology allows people to work *more efficiently*, meaning fewer labor hours are required to produce the same output. This does not lead to unemployment. On the contrary, it frees labor to be redirected toward new and more valuable pursuits. The notion that increased labor efficiency could harm people stems from politics, which often paints a skewed picture of societal problems.

Unemployment isn't a problem; the real issue is making ends meet, and that's a very individual problem. Policies that distort price signals are always a slippery slope. Once in place, they hamper the free market's ability to signal to people where their efforts are most needed. The trade-off inevitably leads to fewer individual ends being reached at a slower pace.

From this praxeological viewpoint, history can be re-analyzed and interpreted. Since we know that all human labor has an attached disutility to each actor, it is no surprise that technological advancements have allowed people to work less now than they did 200 years ago. People are probably happier now than they were back then because more of their wants are satisfied.

Technological progress itself is neither good nor bad, but it always saves someone time and capital somewhere. Bad things happen when some individuals try to engineer society itself. Society is a complex web of people acting in their own self-interest, and interfering in this process produces unintended consequences.

People work because they believe the fruits of their labor are worth the effort. However, wages do not determine the value of labor. The value of labor is determined by how much an employer expects to gain from the goods or services produced. A person is paid not for their effort but for the perceived **value**

of their output. Hours worked are irrelevant — what matters is **productivity**.

For example, a farmer digging a ditch for twelve hours with a spoon produces far less value than one who digs for one hour with a backhoe. The value of labor is in its effectiveness, not in the time spent.

The True Nature of Wealth

After thirteen days on the island and twelve trips to his stranded ship, Robinson Crusoe finally retrieved "*about 36 pounds in value of money — some European coins, some Brazilian, some gold and silver.*" However, he quickly realized that, of all the things he salvaged, this money was the least valuable.

As he stood over the pile of coins, he felt a pang of irony. For years, he had lived in a world where these small discs held the power to feed, clothe, and shelter him. Now, they were nothing more than dead weight. Shiny trinkets with no more value than the sand beneath his feet. He tossed a handful onto the ground and watched as they gleamed in the sun, utterly useless in a land where the only currency was labor.

Crusoe's mind raced: what good was wealth if it could not buy him food? What good was money if it could not chop wood, build shelter, or bring him fresh water? Crusoe's epiphany was profound: **Money only has value in trade.** He had no one to exchange his coins with on his island, rendering them useless.

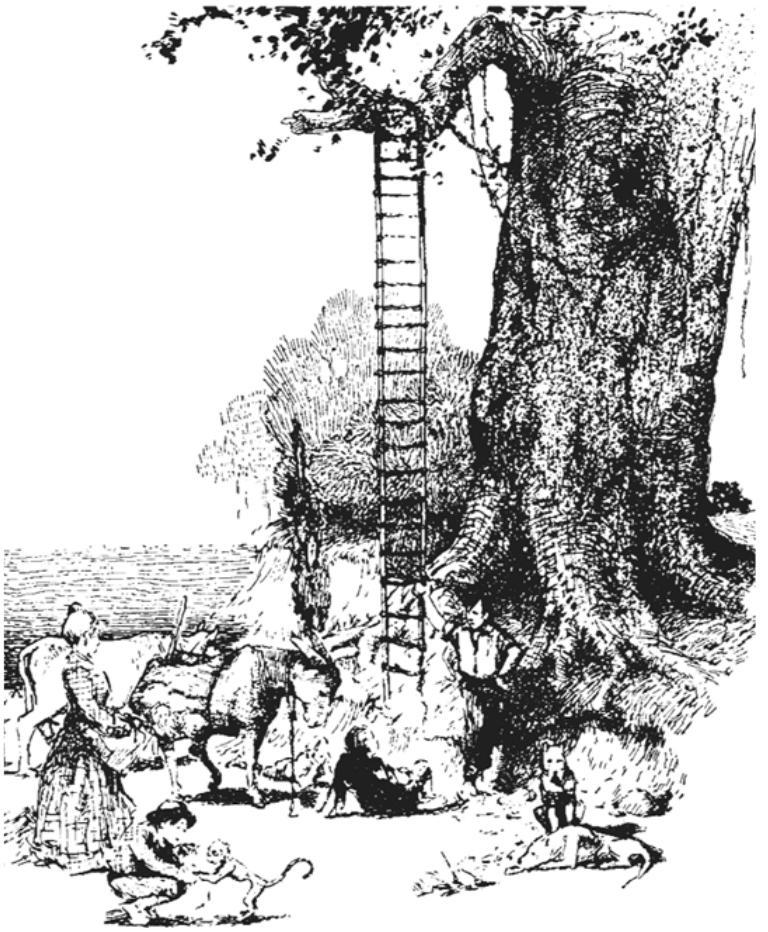
From this moment on in the book, Robinson Crusoe realizes that the only person he has to trade with on the island is his future self. A commodity's **saleability** is no longer a concern

for him. All he could do from here on was sacrifice leisure and start working to accumulate capital goods.

If he failed to build tools, shelters, and food sources, nature would force him to hunt and gather every day for survival. His labor was not just about sustaining himself in the present but about creating future wealth by reducing the cost of survival over time.

Without trade, money becomes meaningless, and survival hinges on the efficient use of labor and capital. In this way, Crusoe's experience serves as a microcosm of economic reality, demonstrating that true wealth is not measured by currency but by the ability to transform effort into long-term prosperity.

This realization applies universally: **Wealth is not money but productive capital**. Whether you're marooned on an island or leading a corporation, true wealth lies not in money but in your ability to turn your time and efforts into lasting value.



"In a word, the nature and experience of things dictated to me, upon just reflection, that all the good things of this world are no farther good to us than they are for our use; and that, whatever we may heap up indeed to give others, we enjoy just as much as we can use, and no more."

Capital, Time and Trade

The Structure of Production

Capital, or *time*, is the third main element of the three factors of production. As we've learned, the others are *labor* and nature-given *means*. Praxeologically speaking, capital is essentially the same thing as time. Just as land represents nature-given resources and labor represents human effort, capital represents accumulated time stored in the form of goods and tools.

Both land and labor have intrinsic limitations in terms of productive output. To increase the production of consumer goods, one *must* acquire more time — either by working more hours, working more efficiently, or deferring consumption for future gain.

Time accumulation involves producing and saving goods for later use, a process we call **capital accumulation**. The goods that store time are called **capital goods**. Understanding how humans raise their standard of living begins with understanding capital accumulation and the importance of saving.

With this in mind, production can be seen as a series of stages leading to the final creation of *consumer goods*. This framework is known as the **structure of production**. To illustrate the difference between a basic and complex production structure, we return to our familiar praxeological thought experiment: Robinson Crusoe, stranded on his tropical island.

Robinson's most urgent desire is to feed himself. Fortunately, he discovers a freshwater lake teeming with fish. His first instinct is to catch fish with his bare hands. This simple, short production structure is almost instantaneous, as it involves only one stage between labor and consumption. However, this method is inefficient — he catches too few fish to sustain himself for long.

Upon this realization, Robinson decides to build a fishing net. The construction involves multiple stages of production: cutting tree branches to gather raw material, separating fibers, braiding them into rope, and tying the rope into a functional net. Each step takes time and delays immediate consumption. The initial hand-fishing method is quicker but more inefficient. The net method requires more time but increases productivity in the long run. This trade-off between immediate and delayed gratification is determined by Robinson's *time preference*.

Delayed Gratification

If it takes Robinson ten days to build the net, dedicating all his waking hours to its production would mean no food in the meantime. This is the fundamental challenge of saving and capital accumulation — a sacrifice in the present is required for a potential future reward to materialize.

After building the net, Robinson can catch fish more efficiently, freeing time for other pursuits, such as producing even better tools. His willingness to delay gratification is what we call a *low time preference.*

The same principle applies to everyone. Some people instinctively prioritize immediate consumption, while others invest in long-term goals, working on projects for years or even decades. Time preference (like any other value judgment) is deeply personal and subjective, changing based on an individual's needs, resources, and ambitions.

How can Robinson Crusoe build a fishing net without starving in the process? He has two options:

1. Reduce his daily fish consumption, setting aside time for net-making.

2. Increase his daily catch by working longer hours and saving extra fish for later.

Both methods achieve the same result: accumulating a reserve of goods to sustain him during the net-making period. This saved fish represents capital. The process itself is called **saving**.

Having access to more capital goods shortens the time needed to enjoy consumer goods. Saving enables higher production, which raises living standards. Our ancestors understood this, sacrificing immediate consumption to accumulate capital goods that paved the way for modern comforts. Thanks to their foresight, we no longer hunt daily for food or seek shelter in caves but have freezers, supermarkets, and homes built upon generations of savings.

This kind of internal exchange — sacrificing today's comfort for tomorrow's advantage — is just the beginning. However, once other people are introduced to the equation, the potential for cooperation (and conflict) grows exponentially.

The Division of Labor

Every human action is an exchange, either between yourself and your future self (as in Robinson's case) or between individuals. So far, we've discussed interactions between a person and their future self. But what happens when others enter the picture?

For an exchange between two people to occur, both must believe they will benefit from it. Trade only happens if what the seller offers is worth more to the buyer than what they give up in return. This form of concerted action between two or more individuals to attain definite personal ends can be called a **civilized** interaction. When we voluntarily exchange goods and services, we are being civilized. Free trade *is* civilization.

In contrast, involuntary interactions — where one party uses force or coercion — are anything but civilized. We call this way of interacting **uncivilized** or **barbaric**.

For an exchange between two people to happen, they cannot offer one another the same good or service. If they did, no trade would occur because their respective wants for that particular good would already be satisfied. Therefore, individuals who specialize in producing rare goods and services for the market have a better chance of exchanging them for other things. This results in what we call **division of labor.**

We're not born equal, regardless of what your teachers might have told you in public school. Life would be pretty dull if we were. There would be no sports since competition would be pointless. No one would ever invent anything since we'd all approach every problem in precisely the same way.

Luckily, we're all different and have different skills and talents. If we weren't, evolution wouldn't have taken us very far. We'd probably still be a school of plankton floating around, waiting to be consumed by a whale. The more diverse our capabilities, the more advanced our civilization can become.

If people had identical skills and resources, trade would be pointless. This is where **specialization** emerges. The division of labor is a rational response to the reality that some people are better at producing certain goods than others. The benefits of trade increase when individuals focus on what they do best and exchange their surplus for other goods. The phenomenon of division of labor is a conscious response from individuals who, through reason, recognize the benefits of exchange with their fellow human beings.

An excellent example of a well-functioning community where the division of labor makes everyone's life easier is the village depicted in the *Asterix* comic book series. *Getafix* (the druid), *Fulliautomatix* (the smith), *Unhygienix* (the fishmonger), and the series' main protagonists, *Asterix* and *Obelix*, continuously trade goods and services with one another voluntarily within the village's walls.

Problems only arise when an aggressor (in most cases, the Romans) tries to confiscate the village's resources using force. We'll analyze the consequences of forceful actions later. For now, let's focus on voluntary interaction and the division of labor.

We're not all born equal, and that's a good thing. Diversity of skills and talents is what makes progress possible. If we were all identical, competition would be meaningless, innovation would stall, and civilization would stagnate.

Why Specialization Benefits Everyone

In the early 19th Century, British political economist, politician, and member of Parliament *David Ricardo* explained how specializing in producing whatever good or service you're best at producing is always beneficial to every market participant, *even if everyone else is better than you at producing it!* Let's explain using another Crusoe example:

Friday is a native islander rescued by Crusoe from a group of cannibals. Grateful and curious, Friday becomes Crusoe's companion and student, representing the moment when Crusoe's isolated world expands into an actual society.

Robinson might be better than Friday at growing crops, and Friday might be better than Robinson at raising cows. They might also find themselves in different geographical locations where producing one good is more manageable than producing the other. This example might seem obvious, but what's less intuitive is that even if Robinson is better at *both* tasks than Friday, they're better off doing what they're best at and trading with each other than if Robinson was trying to produce it all by himself.

Collectively, Robinson and Friday are better off exchanging with one another because the total output of goods will be higher if they do so. In other words, even if one party is better at producing everything, both benefit more if that party focuses on what they're *most* better at and trades for the rest. This phenomenon is called the **Ricardian Law of Association.**

The author of this text might be better than his wife at washing clothes *and* writing books about praxeology, but we'll both be better off if I write the book and she washes our clothes (Luckily for me, I'm worse than she is at washing clothes, so the matter isn't even up for debate).

Ricardo demonstrated the consequences of the division of labor when an individual or a group that is more efficient in every respect cooperates with a less efficient one. He concluded that it is advantageous for the superior individual or group to concentrate its efforts upon producing those commodities for which its relative advantage is the highest and to leave the production of other goods to inferior producers.

The division of labor between two individuals or groups increases labor productivity and is advantageous to all concerned, even if one of the individuals or groups is effectively better at producing all goods. It may seem paradoxical that it is more beneficial to specialize and focus on making only one particular thing when you're also better than your competitors at making other things. Remarkably, trading allows even the most disadvantaged to contribute to society through labor division, thereby lifting themselves out of poverty.

The Market, Peace, and Civilization

On a macro scale, the network of individual voluntary exchanges is what forms a society or civilization. It also creates a pattern of interrelations that we call **the market.** The market creates an opportunity for human beings to engage in production solely for the purpose of trade.

We can perform tasks demanded by the market rather than working for ourselves directly and achieve better outcomes for everyone involved. Exchanges occur because of the innate inequalities between people and their nature-given resources.

Consensual exchanges and the division of labor push us into more and more specialization. It causes some villages to grow into cities and others to remain farmland. The division of labor playing out for millennia has made us specialize to such a degree that some people are now able to make a living reacting to reaction videos on the Internet. Imagine the stages of production that had to precede such a profession!

Every step forward on the road toward a market that satisfies the highest amount of human desires requires more advanced technologies. These advancements, in turn, require a further specialization of tasks.

Contrary to what some politicians assert, the free market benefits everyone, including those who are worse at practically everything than everyone else. The kicker is that this happens regardless of people's motives.

Friday may hate Robinson for being superior to him in every conceivable way, but he may still recognize that he is better off trading with Robinson than fighting him. An incentive to voluntarily respect and cooperate with Robinson is inherent since harming him would probably result in a worse net outcome for Friday. By hurting Robinson, Friday would deprive himself of the increased total output that trading with him would have generated.

Peaceful interpersonal relationships provide better opportunities for everyone, incentivizing us to become friends through our shared, logically provable values. Praxeology illuminates how deeply we are connected and how

rudimentary it is to appreciate other human beings, flawed as they may be.

Understanding these concepts and the laws we can derive from them tells us why cooperation and peace are vastly superior to isolation and violence as tools for reaching our individual goals. All you need is love, and provably so.



"Call on me in the day of trouble, and I will deliver, and thou shalt glorify me."

Money

The Double Problem of Barter

So far, we've discussed the direct exchange of goods and services. People trading with themselves and others, and saving for the future is crucial for raising living standards. We've also shown how trade benefits everyone, even those with limited productive skills, because of the efficiency gained through the *division of labor*. Finally, we've seen how people are always better off specializing and trading, even if they're better than their trading partners at producing everything. But how does trade actually play out?

Every trade makes us both buyers and sellers. We offer something we have to obtain something we want. However, in a barter system, two major problems arise: limited **divisibility** of the goods and the necessity for a **double coincidence of wants** for those goods. Let's explore these concepts.

First, what we want to sell might not be divisible enough to match what we intend to buy, and vice versa. Second, the person we want to trade with might not be interested in whatever good or service we offer them. These two problems drastically curtail both parties' ability to reach their desired ends by limiting their trading options.

Picture a rabbit-catching Robinson and a fish-catching Friday. Friday is willing to trade four fish for one of Robinson's rabbits. But he needs Robinson to not only want fish but to want *exactly* four fish. This is the coincidence problem. Then there's the matter of divisibility. What if Friday wants only a quarter of a rabbit? How do you determine which quarter is worth which amount?

Barter limits what people are willing to produce. Goods that are hard to divide or match to other people's wants, like tools or livestock, are less likely to be used in barter trade. Societies remain economically primitive until these two problems are overcome, and civilization does not emerge without the discovery of money.

> *Money, per se, cannot be consumed and cannot be used directly as a producer's good in the productive process. Money per se is, therefore, unproductive; it is dead stock and produces nothing. Land or capital is always in the form of some specific good, some specific productive instrument. Money always remains in someone's cash balance.*
>
> Murray N. Rothbard

The problems of indivisibility and the necessity for coinciding wants can only be solved using an indirect **Medium of Exchange**. Instead of trading goods directly, people acquire a third good — valued not for its use but for its **saleability**, in other words, how easy it is to sell. Some goods are better suited for this purpose and become widely accepted. We call these **monetary goods**, and over time, the most saleable of these becomes **money**.

Praxeology doesn't concern itself with *which* commodity becomes money but rather with *what happens* once money

emerges. A snowball effect begins: people begin to hold money not to consume but because they know others will accept it in trade. Unlike perishable goods or isolated barter, money functions as a four-dimensional *Medium of Exchange*, traveling through space *and* time as you trade it with others or your future self.

What Makes Good Money?

Throughout history, many things have been used as money: salt, cocoa beans, shells, copper, cigarettes, and even nails. But **gold** has outlasted them all because it satisfies the six key traits of sound money (until the modern era replaced gold with something entirely different, as we'll explore later):

- **Durability** lets the money preserve its value over time.
- **Portability** enables trade across distances.
- **Divisibility** allows for transactions of varying sizes.
- **Uniformity** makes economic calculation possible.
- **Scarcity** protects against inflation.
- **Acceptance** is a natural result of meeting all the other criteria.

To illustrate these traits further, here is how gold satisfies all of the criteria:

Gold does not naturally break down, so it is highly **durable**. It also only has one stable isotope, making it **uniform**. Gold can be minted into coins that are easy to carry around, making it both quite **portable** and **divisible**. Gold is also both rare and hard to find in the Earth's crust, making it sufficiently **scarce**

to be used as money. Finally, gold has been broadly **accepted** as money throughout human history, for at least 5000 years.

Once money solves the problems of barter, the division of labor scales *dramatically*. Now, people no longer need to find someone who wants their specific good. Instead, they can sell it for money and then use that money to buy whatever they want later. Civilization accelerates. Complexity grows. Productivity skyrockets.

Nobody could build a modern computer alone, or even a pencil. The components of a pencil come from around the world. The wood, the compressed graphite in the center, the brass ferrule, the glue that holds it together, the yellow paint, and the color for the black lines are all produced separately (often on different continents) and exchanged for money. Most likely, a barter economy wouldn't even spawn the saw that cut down the tree for the wood!

If Robinson Crusoe had access to money and trading partners on his island, his options would have expanded exponentially. He wouldn't need to hunt or fish every day just to survive. Instead, he could have saved and traded indirectly, accumulating capital more quickly and investing in better tools. Eventually, the market might have rewarded him with a reasonably priced pencil and some paper, which he could use to immortalize the lessons his solitude had taught him.

Money makes civilization possible, and a functioning monetary system is as vital to society as the cardiovascular system is to the human body. It allows for multi-layered production, making complex cooperation possible.

Money, Value, and Prices

Money also introduces a common language for value: **prices**. Prices are how we express subjective value judgments using a shared denominator. For example, if Friday trades four fish for one rabbit, the price of a rabbit is four fish. Conversely, a fish costs one-quarter of a rabbit (although which quarter remains debatable).

Prices are **historical exchange ratios** — not forecasts of future value but records of what someone was willing to trade at a specific moment. That alone is enough to enable the market's most vital tool: **economic calculation**.

Knowing prices allows us to compare trade-offs and make choices. If we know that one loaf of bread costs one unit and a bottle of milk costs four, we can assess our preferences, budget, and needs accordingly. This helps us allocate resources efficiently and avoid **malinvestment**, which produces things no one wants at the cost of things people do want.

Crucially, money does not *measure* value. Money *signals* value. Since all value is subjective, the very act of making a counterargument proves the principle:

> *Objecting to subjectivity is itself a subjective value judgment.*

The only thing differentiating money from all other goods is that money can also serve as a **common denominator** for all other goods and services on the market. A common denominator unlocks the ability to perform economic calculations for the actor. The number of units of money you

possess gives you a rough estimate of your ability to acquire goods and services quickly.

It is only possible to perform these economic calculations when you know the prices of the various goods and services available. These calculations tell you how close you are to achieving your goals in terms of a specific good in your possession. That specific good is *money*.

> *Because money can be employed for the instant satisfaction of the widest range of possible needs, it provides its owner with the best humanly possible protection against uncertainty.*
>
> Hans-Hermann Hoppe

Math and Economic Thinking

The natural sciences deal in measurable absolutes. They model reality with impressive precision, but the reliability of the results depends entirely on the accuracy and relevance of the inputs. Engineers rely on tried and tested equations to construct bridges and skyscrapers, and their calculations work because the physical world follows consistent rules.

Economics, on the other hand, deals with dynamic, fluctuating, and unpredictable human choices, so we cannot apply empirical methods or formulas from physics or chemistry to predict market behavior. When it comes to subjective value, no universal model or formula can tell us what something is *worth*.

Math can help an engineer build a bridge strong enough to support traffic, but it cannot answer whether the bridge *should* be built at all. That judgment requires economic calculation. A project might seem technically feasible but could divert labor and resources from something more urgently needed elsewhere. In other words, the only way an engineer can estimate the **opportunity cost** of not building the bridge is through economic calculation using money prices. For example, the capital goods and labor that were going to be used to build the bridge could be allocated to drilling a tunnel instead. An engineer can use steel and concrete for many purposes, but only price signals can tell him what to do with these resources.

In summary, money transmits information through prices and guides entrepreneurs to what to focus on and which means to use. Economic decision-making, unlike engineering, always requires a value-based, human-centered, praxeological methodology entirely separated from the empirical sciences.

Money and Motives

Entrepreneurs constantly seek the most profitable allocation of their time and resources — not out of greed but to maximize satisfaction for others. This satisfaction is ultimately what makes them money. In praxeological terms, profit is always good because it reveals a successful deployment of scarce means toward ends valued by others. It is not synonymous with monetary gain but reflects the surplus of value generated for both buyer and seller. In this sense, profit turns the entire market process into a win-win engine of progress for everyone.

Many political opinions that critique profit do so based on a misunderstanding. What praxeologists mean by "profits" is

not limited to corporate earnings or shareholder dividends but *any* gain achieved through voluntary exchange. And some things fall entirely outside the realm of economic calculation.

Love, happiness, artistic fulfillment, and dignity are not goods that can be bought and sold. They are either ends in themselves or non-exchangeable consumer goods. No price system can tell us their worth.

When Charles Kane, the protagonist of the classic movie *Citizen Kane*, is on his deathbed, he keeps repeating the word "Rosebud." The meaning of the word remains shrouded in mystery for most of the film until it is eventually revealed to be the name of Kane's beloved sled from his childhood. Kane has a traumatic memory of the sled being burnt to ashes, implying that his motivations throughout the movie stem more from his childhood trauma than pure economic reasoning.

To further illustrate the subjective nature of valuation and profit, imagine (far-fetched pun intended) that Paul McCartney and Ringo Starr get an offer of one billion dollars to re-unite The Beatles without John and George. The money offered may seem very tempting, but they take pride in their legacy as a whole group. One cannot express pride in terms of money. They now have to choose whether giving up their pride for a billion dollars is worth it. If they decide to take the offer, they will lose a lot of fans who will deem them greedy.

Furthermore, the money itself isn't what would make them greedy. On the contrary, money functions as a tool to make moral decision-making easier since it makes the economic calculation more clear. If someone had offered Paul and Ringo a golden Lamborghini each instead of the money, they would have been confronted with the same moral dilemma, but it would have been more challenging for them to weigh one choice over the other.

Regardless, it is *the offer itself* that creates the ethical dilemma, not the unit of account in which it is denominated. Money prices merely communicate information about things bought and sold against it. Nothing more, and more importantly, nothing less.

The Civilizational Role of Profit

In a well-functioning society, people evaluate their actions through profit-and-loss accounting, not just in monetary terms, but in terms of time, energy, and values. Since the emergence of money, humans have been able to perform these evaluations more clearly and systematically.

This has led to vast increases in productivity, wealth, and the availability of goods. In turn, people have gained more time for leisure and the pursuit of non-monetary goals.



"Being the third son of the family and not bred to any trade, my head began to be filled very early with rambling thoughts."

Markets

What Is Capitalism?

Whether you like it or not, you're already a capitalist if you own capital goods. And odds are, you do. Proper economic calculation is only possible after the introduction of money in a free market. Most people own some form of capital goods, and money best serves those who do.

Capitalism is simply a system in which people get to keep their capital and use it as they choose. Put differently, capitalism is the social order that naturally arises when theft and violent intervention don't interfere.

When actors trade for mutual benefit, a pattern emerges. We call that pattern the **market**. The praxeological term for studying market phenomena is **catallactics**. Unlike traditional economics, which often narrows its focus to monetary exchange, catallactics examines *all* aspects of human action, including those that don't involve money at all. No good is ever valued solely based on its intrinsic properties, because there is *no such thing* as **intrinsic value.**

We're always willing to pay more for something if we think it will satisfy our most urgent desire more quickly,

whatever that desire may be. People are generally willing to pay more for food served in a restaurant than the food they must prepare themselves. A home with a stunning view in an international metropolis is typically worth more than one in a dull, one-horse town in the middle of nowhere. This is why the same house can feel like a bargain to one buyer and a ripoff to another.

These are not arbitrary market quirks. They're reflections of individual, subjective preferences. Catallactics leaves no room for error by recognizing that humans make personal decisions that vary from person to person *and* from situation to situation.

Definitions

Words matter. Definitions matter. Before we continue our exploration of catallactics, let's review some definitions.

When we say a buyer always seeks the lowest price and a seller the highest, we must define **price** correctly. It's not always the number on a price tag. The buyer always tries to buy at the lowest price possible *to them*. This lowest price doesn't necessarily have to be the lowest money price for the good, but the lowest price for them to satisfy their most urgent desires. Someone might pay *more* for something a friend sells because they value the friendship more than the saved cash.

We all aim to maximize profits. But this is only true if we include both exchangeable and non-exchangeable gains. Any economic model that ignores the latter is detached from reality. The financial models central planners and market analysts use to predict markets can break at any point precisely because they refuse to consider individual human beings' ever-changing wants and desires.

As we've learned, praxeology is an *a priori* science. It doesn't rely on data or behaviorism. It uses logic and deductive reasoning, also known as the **Austrian Method**. While traditional economists cling to empirical models, praxeologists use imaginary constructions only to single out the elements of reality they aim to study. They do so by using *all else being equal* -type scenarios, where one or more market elements are absent, and analyzing the consequences of these elements' presence. The examples from *Robinson Crusoe* are illustrative of this form of isolation of a particular problem.

The Free Market

Catallactics helps us grasp how markets operate. However, before we can analyze the impact of interventions, we must understand what drives human action and how voluntary exchange functions in a free market.

A free market has no central planner. It's not a place, a group, or a building but a *process* — the organic result of people exchanging goods and services while retaining ownership of their property.

Those who possess their property can direct it to wherever they believe it to be most beneficial for them to reach their desired goals. In such a system, people become both ends and means: they pursue their own goals while (knowingly or not) helping others reach theirs.

Money allows us to communicate how we value things using a *common denominator*. Through trade, money emerges naturally. And with money come prices. Prices inform *producers* about what to produce, how, where, and in what quantity. Almost every human being counts as a producer.

All people who construct or buy capital goods are producers. They choose to forgo the consumption of goods in the present to be able to consume more in the future. They decide to save rather than spend and delay their immediate gratification for what they believe can bring them more satisfaction later. Anyone engaged in saving for the future is, by definition, also a **capitalist**.

Why Capitalism Isn't the Villain

Here's a surprising but crucial truth: we are all **capitalists**, **consumers**, **laborers**, **entrepreneurs**, and **producers**. Sometimes, all on the same day. These aren't personality types or social classes. They're **modes of action.** You are:

- A **capitalist** when you save.
- A **consumer** when you spend.
- A **laborer** when you work instead of rest.
- An **entrepreneur** when you take on risk for a reward.
- A **producer** when you build or buy tools that make production possible.

Money allows us to perform *economic calculations*, which enable us to measure our current state and plot a course toward what we want. Money also lets us distinguish between *capital* and **income**, and that distinction matters.

Income is whatever amount a person can use within a specific period without sacrificing a part of their capital or capital goods. Spending your capital on consumer goods is stealing from your future self in this sense. Understanding

the distinction between capital and income allows people to *live within their means*, an expression that, praxeologically speaking, means precisely that.

Blaming free-market capitalism for society's flaws is like blaming biology for hunger. Ask yourself: would Robinson and Friday be better off fighting each other or cooperating? Capitalism is simply the most powerful method humans have discovered to get more with less. When people voluntarily exchange, they maximize value for both sides.

Furthermore, the system self-corrects. Producers suffer losses when they fail to satisfy customer needs. Consumers choose another producer's goods and services instead, and thus, the market rewards those producers who best meet their customers' needs.

Now, compare that to politics. When politicians and bureaucrats fail, everyone else pays the price. A failed policy affects the entire population, and the people responsible rarely suffer real consequences. They may not be re-elected, but there's no way of knowing whether being in office was the real goal of the politician's actions in the first place.

Let's compare votes cast in a democracy to free-market price signaling through capital allocation. In a democracy, only a majority of people, who all need to compromise their beliefs to some extent, get to decide policies. However, in the free market, every purchase is a vote, and every participant is at least indirectly involved in every decision since every action impacts the market as a whole. The wealthier you are, the more "votes" you're allowed to cast, and in a genuinely free market, financial success is equivalent to helping others fulfill their wants and needs.

Bastiat's Broken Window

Arguments for intervention in the free market (such as the introduction of minimum wage laws) fail to assess how individual market actors will adapt to the altered state of the now not-so-free market to which the intervention will inevitably lead. Free market interferences *always* bring unintended consequences in their wake.

The **Broken Window Fallacy**, first explained by the 19th-century French economist Frederic Bastiat in his 1850 essay *That Which We See and That Which We Do Not See*, perfectly illustrates the perils of ignoring the inevitable second-order consequences of market interventions. In Bastiat's tale, a boy breaks one of his father's windows, triggering a chain reaction of inaccurate conclusions.

The townspeople (as well as many confused "modern economists") falsely conclude that the boy has contributed to the overall economy since his father will now have to replace the window and pay the town's glazier to replace the broken pane. The glazier will then spend the extra money on something else, which they believe will stimulate the economy.

What they fail to see is the bigger picture. The boy's father is forced to forgo some other good or service he could have procured because of his more acute problem. He must pay the glazier to repair the broken window before he can satisfy some now-less-urgent desire. Moreover, the producer of whatever good or service the father might have bought is now deprived of a customer. The window-breaking also forces the father and the glazier to spend their time and capital re-building a capital good already used in the town's economy, namely, the window.

The window was already providing the family with the service of sheltering them.

Does the Free Market Even Exist?

When discussing catallactic phenomena, it is crucial to understand that a completely free market economy has never existed. What humanity has experienced so far has not even been close to it. Interventions in the market and manipulations of the money supply have been around for as long as anyone can remember, and the societies we live in today are no different. Policy-makers everywhere continue to be beholden to broken window logic.

Without the knowledge of praxeology, we can't understand how markets function. Before the emergence of money, economics wasn't a science at all, and until the discovery of praxeology, economists studied money as an isolated phenomenon and could only partially comprehend or grasp the true power of a free market economy. The outdated ideas of these proto-economists sadly live on today, hindering humanity's civilizational advancement.

Today, outdated macroeconomic models still dominate policy-making. Politicians pass laws based on flawed assumptions. Central planners manipulate money and markets using tools they barely understand. Likewise, superstition and ideological tribalism cloud public thinking. We mock ancient religions while embracing equally unscientific economic doctrines.

It is unlikely that anyone alive today will live long enough to experience a free global market without corruption, taxes, and a manipulated money supply. Only *a-priori reasoning* and *first-principles thinking* can break the spell. Praxeology reveals

that all self-proclaimed emperors are naked. All humans act for the same fundamental reason — they want to rid themselves of a felt uneasiness. Only in this sense are we all truly equal.

In a genuinely free market, no group dictates others' behavior. Every individual is **sovereign**. People act using information embedded in price signals, which reflect the value judgments of everyone else in the market. The market is **evolutionary**. It reflects millions of adjustments, constantly responding to new preferences and changing conditions. Without money and price signals, economic calculation is impossible.



"But as abused prosperity is oftentimes made the very means of our greatest adversity, so it was with me."

Competition

Catallactic and Biological Competition

In the imaginary construct of the completely free market, there are no slaves or masters. Competition exists, but it differs radically from the kind we see in sports or war. In the market, sellers compete by offering buyers the best value through lower prices or better quality. But buyers also compete with each other. They work to accumulate money to afford goods and services that align with their desires. Whoever can provide the best work outcomes for the lowest cost to the employer gets the job.

In this hypothetical system, there is no violence. Each person's greatest incentive is to help others achieve their goals because doing so is the most effective way to achieve their own. It's a form of competition that doesn't produce losers; it produces cooperation. Unlike the violent, zero-sum competition we often associate with war or animal behavior, free-market competition is the *civilized* way to manage scarcity.

From now on, we will differentiate between the two types of competition by introducing the terms **biological competition** and **catallactic competition**.

Biological competition is the struggle for survival between organisms over limited natural resources. In nature, scarcity is a brutal reality. Animals compete for food, territory, and mates, not through peaceful negotiation but through dominance, strength, and often violence. The winners live to reproduce; the losers perish or are forced to adapt. Biological competition is zero-sum. One creature's gain is another's loss.

Catallactic competition, by contrast, is the peaceful rivalry that emerges in a free market, where humans compete not by fighting each other but by serving each other better. In a voluntary economy, every entrepreneur competes to win the favor of consumers by offering more value for less cost. Unlike biological competition, catallactic competition is positive-sum. One person's profit does not come at another's expense but from better satisfying the needs of others. It is not survival of the fittest but service to the choosiest. This kind of competition is, paradoxically, the most sincere form of collaboration there is.

The True Meaning of Freedom

The concept of freedom only has meaning in human relationships. When one individual uses violence or the threat of violence to control another, the latter is not free. In a free market, however, individuals are truly free as they can engage with others voluntarily and without imposed restrictions.

Whether Robinson Crusoe is free while alone on his island is of no concern to praxeology. An isolated person is always free because there is no one else to restrict him. But to live freely among others means interacting non-violently and without coercion. A restriction on personal liberty, such as a tax enforced by threat of imprisonment, is a violent act. Whoever

sets the parameters of constraint limits the options of those affected by it through threats of violence.

Freedom, then, *requires* the absence of compulsion or coercion. It means individuals can use their bodies and property as they see fit, provided they don't infringe on others' rights. Freedom and property are inseparable. Without absolute property rights, freedom is an illusion. Hence, the praxeological definition of freedom becomes:

> *The sphere in which an individual is in a position to choose between alternative modes of action.*

The flip side of the freedom coin is *responsibility*. Only when people take full responsibility for their actions can they be truly free. From this angle, this is the actual boundary between childhood and adulthood. By this definition, a large portion of humanity today cannot be called truly adult.

Personal responsibility leads to greater freedom in the long run. In a free-market system without forced social security programs, people are held accountable by themselves and their peers. The lion at the zoo may enjoy free housing and food every day but would stand little chance in a fight against a lion that has managed to thrive in the fierce battlefield of the Serengeti. The caged animal is in the clutches of her captor, as is the recipient of government subsidies and grants.

Fortunately for humans, we can claw back our freedoms by taking responsibility for our lives and acting that out in the market. Whenever we offer a good or service in the market, we step toward self-reliance and lighten our financial burdens. Freedom is earned through contribution, not entitlement.

Scarcity, Value, and Subjectivity

At the heart of economics lies the problem of value. Specifically, how value is determined in a world of scarcity. Nearly all economic fallacies stem from the mistaken belief that value can be *objectively* defined, and thus, society can be designed around that definition. This is a fundamental error.

In a free society, the only limits to freedom are the laws of nature, including those of praxeology. Individuals are "free" to the extent that they can choose their ends and the means to attain them, but not all ends are compatible. A man who wants to jump out of a plane must first acquire a parachute if he intends to skydive more than once.

The most efficient way to get a parachute is by selling his services on the market, saving capital, and making the purchase. He could steal it, but by doing so, he leaves the civilized framework and undermines the very process that made parachutes available in the first place.

By stealing, he diminishes the long-term benefits of the division of labor. If theft were universal, no goods would remain to be stolen. In that sense, theft is stealing from one's future self. Civilized society depends on you respecting others' freedom.

Anyone who imposes their will on others through force is not acting peacefully. They're engaging in *biological* competition, not *catallactic*. Civilization begins when we choose cooperation over domination.

Mutual Benefit

Even those with limitations are better off specializing and trading. Even if Robinson is better than Friday at catching rabbits and fish, they still benefit from dividing labor, as we've previously discussed. Trade allows both parties to focus on what they do best, and the gains from trade are always mutual.

As cooperation expands, capital grows, and more wealth becomes available for voluntary charity and altruism. In freer markets, there's more room for generosity. However, when governments enforce redistribution, unintended consequences follow.

Redistribution reduces the total amount of resources available over time. Governments can only redistribute what they first confiscated from those who accumulated it by serving others. In doing so, they reward unproductivity and punish contribution, incentivizing everyone to produce less and take more.

All confiscation of wealth makes economic calculation harder for both the victim and the recipient, especially if done regularly. To add sour icing to this already rotten cake, when the rules are ever-changing, calculation gets even harder, which is nearly always the case when politicians are involved.

When you deliberately make economic calculation harder, you force people to adopt a higher time preference, leading to more short-term decisions and an even more handicapped market process.

Freedom and Government

To understand human behavior, especially violence, we must confront a hard truth: **all governments are inherently coercive**. The market depends on voluntary action. Government, by its very nature, implies force. The two are *incompatible*. Taxation is the price we pay to live in an *un*civilized society.

So long as any group holds coercive power, *true equality is impossible*. People may share equal rights among themselves but not with their rulers. True human rights must be universal. Anything less is a privilege, not a right. Thus, the only universal human right is **the right to be left alone**.

The inequalities of wealth, ability, talent, and income among people are all essential for the free market to function. Freedom and order arise from people's non-violent efforts to reach their ends. The market is not a survival-of-the-fittest, winner-takes-all, law-of-the-jungle type of competitive environment, regardless of what mainstream media government mouthpieces might insist.

The free market is rather an antidote to such poisonous modes of conduct. Only by recognizing that the best way of helping yourself is to help others (and vice versa) can we debunk the propaganda and elevate ourselves to become more civilized to one another. When we do so, we all win.

Action Speaks Louder

One can arrive at these conclusions without having any opinion on what people ought or ought not to do. These are

logical conclusions stemming from arguments one cannot dispute without falling into the trap of self-contradiction.

Argumentation is the use of linguistic means to acquire a desired end, namely changing another person's opinion or understanding of a subject. It is a quintessential form of human action. Furthermore, one cannot argue against this proposition without contradicting oneself, making the act of argumentation *axiomatic*. More on this later.

Nevertheless, one can make another person change their mind about practically any matter by forcing them to do so using threats of violence. Making the distinction between what constitutes a non-violent act and a violent one is paramount for understanding why there's often a dissonance between what people say and what they do.

Lying about our true intentions is something we do when we feel compelled to do so to reach goals that rank higher on our value scale than being honest does. People who value getting into positions of power above everything else have no problem lying since their desired end dwarfs all other goals they may have, including being an honest person. Depressingly enough, this willingness to sacrifice integrity often helps them reach their goals. On the other hand, leaders with **skin in the game** who have something to lose from not meeting what people expect of them are likelier to be honest about their intentions.

In reality, catallactic and biological competition intertwine, and people use all sorts of means to reach their ends, some honest and peaceful, others less so. Just as Robinson and Friday learned that trading fish for rabbits was a more fruitful path than fighting over them, so must civilizations recognize that cooperation, not domination, sustains progress.

Catallactic competition doesn't erase human differences but channels them into productive, peaceful exchanges. The alternative is biological competition. Zero-sum, short-sighted, and rooted in violence.

Ludwig von Mises put it best:

> *Socialism is an alternative to capitalism as potassium cyanide is an alternative to water.*



"He told me it was men of desperate fortunes on one hand, or of aspiring, superior fortunes on the other, who went abroad upon adventures, to rise by enterprise, and make themselves famous in undertakings of a nature out of the common road."

Entrepreneurship

Profit

Every human action is a conscious attempt by an individual to satisfy a particular desire — always with the ultimate goal of relieving a felt uneasiness. Any desire the person fulfills counts as **profit** to that individual. Any personal desire the actor fails to meet is called a **loss**. Profits and losses, like all other value judgments, are entirely subjective because they include non-exchangeable goods as well as exchangeable ones.

All human action seeks profit. Also, all actions come at a cost since they require sacrificing every other action that could have occurred at that time. Thus, we define profit as:

Satisfaction attained minus satisfaction forgone.

Even suicide is a profit-seeking action. A person engaged in self-murder values the presumed comfort of death more than the apparent discomfort of life. Altruism is profitable, too. A charitable giver values the warm feeling of generosity more than the alternative uses of their wealth. In this sense, every

action is self-serving, not in a egotistical way, but because actions derive from *personal* valuations.

With that said, in the free market actions are translated into *price signals*. Here, profit means a **surplus** of money after a set of exchanges, and loss means a **shortage**. The more profit entrepreneurs earn in a free market, the better they've satisfied their customers.

Profits are always the result of successful predictions. Since markets are predicated on human behavior, they always contain uncertainty. The more accurately an entrepreneur anticipates what people will want and produces it efficiently, the higher their profit will be. Failed predictions lead to loss. The greater the gap between what customers are willing to pay and the total cost of production, the more profitable the venture becomes. That's why entrepreneurs are always motivated to reduce costs, and price competition lowers consumer prices over time.

However, prices themselves don't *measure* satisfaction. They simply *signal* how well producers are meeting consumer desires. If the price is too high, customers won't buy. If they buy a product, they signal to the entrepreneur that they value that product more than the sum of money foregone at that time. Regardless of whether consumers end up buying a certain product or not, they always provide the entrepreneur with data that can be used to optimize that product's price tag.

To oppose profit is to endorse loss. There is no third option. One cannot claim to be "against profits" without simultaneously being "for losses." Praxeology does not adjudicate whether an effort is fair or unfair but rather reveals that *all human effort* aims toward personal profit. Material profits and losses differ from psychological ones. Most people, when speaking of profits, mean monetary gain.

But praxeologically, any successful action is profitable even if no money changes hands. Searching for profit and avoiding losses is, essentially, all we do.

Regulation, Risk, and Monopolies

The catallactic term **entrepreneurship** refers specifically to the allocation of capital goods for commercial ends. Entrepreneurship is *risking one's capital* to make a profit, not to be confused with *saving*, the accumulation of capital goods *for later use*. All entrepreneurs are capitalists (people who *save*), and all capitalists are entrepreneurs. They *must* risk capital and serve customers better than their competitors in order to be profitable.

For example, a CEO may look at wages worldwide, move the corporation's production facilities to a low-income area, and then ship the product to where people are willing to pay the highest possible price. Price discrepancies between places provide the entrepreneur with an opportunity. Other entrepreneurs then take note of the first mover's success, whereby they can make similar moves to increase their profits — increasing market competition and lowering consumer prices in the process. From the consumer's standpoint, *falling prices are more impactful than rising wages.* Lower prices reflect more efficient resource allocation and benefit *everyone*.

A pioneering company's profits will decrease as more competitors enter the market. This competition reduces the first company's chances of establishing a monopoly. Unsurprisingly, large corporations often lobby for increased regulatory policies for this very reason. The more the monopolist can reduce market competition, the longer they can profit from their monopoly position.

Government officials and giant international corporations have much to gain from helping one another at the expense of everyone else, and their incentives to collude grow stronger the more interdependent they become. When politicians interfere in the free market, such as by granting subsidies, they only temporarily alleviate certain actors' financial burdens while simultaneously reducing the efficiency of the market.

The only way to break this vicious cycle would be to introduce onto the free market something they can't regulate. But that's a whole different discussion. Let's focus on principled, honest entrepreneurship for now.

Lessons From The Past

History offers plenty of cautionary tales about redistribution gone wrong. For example, in the early 2000s, the government of Zimbabwe under Robert Mugabe launched an aggressive land redistribution program aimed at transferring farmland from white commercial farmers to black Zimbabweans. The stated intent was to redress colonial-era inequalities and create a more equitable economy. A devastating, yet *entirely predictable*, collapse of agricultural output ensued.

The new land recipients lacked the experience, capital, or incentive structures to maintain large-scale farming operations. Thus, the thriving agricultural sector (once known as the "breadbasket of Africa") imploded, leading to food shortages, soaring unemployment, and a humanitarian crisis. To add insult to injury, the Zimbabwean dollar began hyperinflating as the regime tried to hide its embarrassing failure by printing more currency.

What was marketed as an attempt to level the economic playing field ended up impoverishing the very

people it was meant to uplift. Instead of redistributing prosperity, the government redistributed poverty — the only wealth-equalizing tool they ever had.

Teaching Entrepreneurship

If entrepreneurship is the most effective way to improve society, why don't we teach it in school? The answer is surprisingly simple — entrepreneurship is not teachable in the conventional sense. Entrepreneurship isn't a skill. It's a *mindset*. Profitable entrepreneurs spot what others miss, whether that is a product, a method, or a pattern hiding in plain sight. Something *new.* Their success lies in seeing what others don't.

Education only provides students with theories and tutorials already developed by society. Formal education may help them connect the dots, but schools and universities are designed to produce cogs for the existing machine, not to teach people how to build a better one.

Life is not a rehearsal, and entrepreneurship is not a thing you can practice. You can't really learn poker by playing without stakes. Entrepreneurship cannot be taught in a textbook or graded by a standardized test. It is, in a sense, the economic equivalent of a scientific breakthrough.

Wage Earning versus Risk-Taking

Successful entrepreneurs can make more money than wage earners, but only because the entrepreneur is willing to take on greater risk and accept uncertainty in their future cash flows. A worker takes on a lower risk by trading away the ability to make more money for the certainty of a regular

paycheck. In some cases, this can allow the worker to become an entrepreneur in his spare time since the regularity of the payouts might make him dare to embark on an entrepreneurial venture he otherwise wouldn't have.

If Friday agrees to fish for Robinson in exchange for one rabbit per day, he gains the certainty of a daily meal. This reduces his uncertainty and relieves the stress of hunting. That certainty is valuable to him. It may even free him to explore other ventures like crafting nets, writing poetry, or building better shelters. The security of a wage can be a springboard to other kinds of action.

Another example would be a certain author of books on Praxeology who happened to have a steady day job when he first embarked on his writing journey and started selling books and giving lectures in his spare time.

In choosing our actions, we all balance certainty and risk in our lives and consider both when deciding how to spend our days. In this sense, we're all entrepreneurs.

Losses

Profits and losses are two sides of the same coin. When entrepreneurs earn large profits, they signal that some other ventures are wasting resources and that better options exist. Losses do the opposite. They warn others not to follow the same path.

Market actors use the signals of profit and loss to allocate resources intelligently *if they are allowed to*. But when the signal is distorted, the entire feedback mechanism breaks down. The more distortion, the more noise, and the harder it becomes to find opportunities.

Entrepreneurs who fail eventually run out of capital and must earn wages again until they've saved enough to try again. This is how markets weed out failure and cultivate improvement naturally. Capitalism cannot function properly if society socializes losses by bailing out failing businesses.

The only sustainable system is one in which people get to bear the fruits of their labor *and* suffer the consequences of their own actions. The free market is humanity's best tool for punishing resource-wasteful behavior and rewarding frugal conduct. The freer the market, the clearer the signal.

A Self-Correcting System

In the end, the market is not a machine in need of control. It is an *evolutionary process* that constantly refines itself through signals, incentives, and individual judgment.

Entrepreneurs are its agents. Their profits are not signs of greed but indicators of value created. Their failures are not tragedies but information. Let them rise. Let them fall. Let them try again.

Only in a system where the signals are accurate and the risks are real can we unlock the full creative potential of humanity. Only when we stop distorting the market's signal can we enjoy the music of progress — one risk, one profit, one experiment at a time.



"It put me upon reflecting how little repining there would be among mankind at any condition of life, if people would rather compare their condition with those that were worse, in order to be thankful, than be always comparing them with those which are better, to assist their murmurings and complaining."

Progress

The Role of Capital Accumulation

Economic progress comes through capital accumulation. The catallactic definition of a progressive economy is **an economy in which the total amount of capital goods increases**. Simultaneously, individual goods become cheaper, and new goods arrive on the market to satisfy novel consumer needs. Another way to express this is to say that living standards increase in an economy that progresses.

Thanks to the evolution of the free market, most of the world's population now owns a mobile phone — a device James Bond could only dream of a mere couple of decades ago. No matter how well-educated people are or how advanced their technical skills may be, the economy can only *progress* if capital goods are available.

Savings are crucial to prosperity. We can only increase our living standards by consuming less in the present, and we consume less now only when we believe that saving will allow us to enjoy more consumption later. *Entrepreneurs* who satisfy customer needs reap the benefits of being profitable without spending their savings. Through market competition, however, their ability to do so continuously declines over time.

To maintain a high standard of living, entrepreneurs *must* innovate and expand production to meet more and different consumer wants. Market competition functions as an imaginary blowtorch aimed at their behinds. Evolve or go out of business. If they manage to evolve, they might avoid being usurped from their entrepreneurial throne by a newer, more nimble competitor.

Entrepreneurs acquire additional capital goods in two ways: they can either reinvest profits to expand into new territories, or, alternatively, improve their existing business. A brickmaker, for instance, can increase output by building more factories or by investing in automated systems that reduce labor costs. These strategies aren't mutually exclusive, and both result in cheaper bricks. Moreover, because bricks are a foundational input for countless goods, a drop in brick prices lowers costs across the entire economy, both *directly* and *indirectly*.

In other words, by chasing profit, entrepreneurs reduce everyone's cost of living as a byproduct. In doing so, entrepreneurs also free up time and capital that allow others to pursue entrepreneurial ventures themselves. This is why individual capital accumulation is paramount for broad societal prosperity to be possible *at all*.

Critics of capitalism often misunderstand the nature of the market process, failing to account for the social benefits of profit-seeking behavior. Many mistakenly believe that the system we live under today is capitalism when, in fact, no country currently operates under a truly capitalist model. Government overreach in markets is the norm, not the exception, and trigger-happy money-printing institutions abound.

The idea that capitalists "unjustly benefit" from capital accumulation misrepresents the process entirely. In reality, entrepreneurs reap only a fraction of what they sow. Profit is the result of successful risk-taking aimed at satisfying the wants of others, but those profits are never guaranteed. A competitor's increased capital accumulation constantly threatens them.

Since prices are determined by supply and demand, every new type of brick introduced lowers the marginal productivity of bricks produced by older factories. As supply increases, the total value of original production declines. This is the very mechanism that ensures that no entrepreneur can profit for very long without continuing to serve others.

How Everyone Benefits

Let's now turn our attention to the less-entrepreneurial segment of the population. The most remarkable aspect of the free market is that, relatively speaking, these are the people whose living standards rise the *most* through capital accumulation and falling production costs.

Even if an individual entrepreneur fails, the purchasing power of wage earners rises (provided that the monetary units they use aren't subject to debasement via money printing or that their wages are adjusted to reflect monetary inflation). In the short term, automation can cause job loss, but over time, it increases wealth and enables more (and better-paid) jobs to be created elsewhere.

In a purely free market, capital accumulation and the division of labor work in everyone's favor. Only when non-consensual, coercive interference is introduced does this cease to be true. Non-consensual action includes

(but is by no means limited to) robbery, theft, taxation, tariffs, market intervention, and money supply manipulation. The wealth created by successful businesses is broadly distributed. Even workers at rival firms benefit from economic competition, which drives prices downward across the board. The *only* people who suffer losses are the entrepreneurs who mismanage capital. As capital grows and prices fall, all workers' purchasing power rises.

Why Technology Isn't Enough

Technological advancement is essential to societal development, but *only insofar as capital is available to use it*. Lacking the proper tools limits production; lacking capital halts it altogether.

Robinson Crusoe might learn how to make a fishing net, but the knowledge is useless unless he possesses the required materials. Capital accumulation enables trial, error, and eventual success. In this way, capital accumulation is a necessary precondition for technological advancement.

Time and capital are two sides of the same coin. The Internet can teach you almost any skill under the sun but can't give you the time or tools to apply it. To build a rocket, you need the parts. Without the necessary materials, a master's degree in rocket science won't even get you to the treetops. Only by accumulating capital can the sky truly be the limit.

A good measure of economic progress is simple: can your earnings buy you more today than they did yesterday? Are prices falling? If so, progress is happening. If not, something is in the way. More often than not, that something is **monetary debasement** — what most people experience as **inflation**.

Throughout history, those with the power to mint currency have rarely resisted the urge to print more of it. This devalues money and erodes savings, slowing economic growth and reducing living standards. Envy is the arch-nemesis of progress because it drives people to act against their long-term self-interest by trying to extract value from their fellow human beings using violent, coercive means, such as money printing.

The solution is **sound money**, which is costly to produce and, therefore, hard to counterfeit. Sound money is the antidote to the debilitating impact of an increasing money supply. It protects savings and removes the need to gamble on volatile assets just to preserve wealth. In this way, it enables personal capital accumulation, allowing real progress to ensue.

Sound Money gives families, workers, and entrepreneurs the confidence that what they earn today will still hold value tomorrow, which is nothing less than a foundational trust required for any lasting civilization.

Falling prices caused by increased productivity are not signs of economic trouble but signs of increased wealth. Sure, when prices fall due to collapsing demand, producers suffer. However, *increased productivity* drives price decline in the free market, not collapsing demand. A shining example of this is the cost of data storage, which has experienced exponentially falling prices for decades despite ever-increasing demand and inflationary currencies.

The Irony of "Progressive" Politics

Understanding how capital accumulation drives prosperity reveals the bitter irony of so-called progressive politics. The

more "progressive" the political agenda, the more likely it is to obstruct actual progress through market interference. It may or may not be true that a "transition to a greener economy" can only be made possible by technological innovation, but innovation always plays second fiddle to capital accumulation. And capital formation depends on savings, free exchange, and accurate price signals.

If you really think about it, all tools and technologies have the same purpose: to increase efficiency and save time. The Russoean idea that humanity should voluntarily use *less* energy as we evolve is not only naïve but dangerous. Only the free market of ideas can teach us how to use energy more efficiently through capital accumulation, followed by competitive exchange, which lowers costs and raises living standards for everyone.

Truly renewable energy sources are, by definition, cost-efficient. If they need subsidies to compete, however, they aren't *really* renewable. If the total cost of producing a wind turbine or solar panel exceeds the total value of the energy it generates during its lifespan, it cannot be called a renewable energy source. Its honest, un-subsidized production cost reflects how much energy was used to produce it.

We can never calculate actual costs in a market with targeted subsidies, excise duties, and taxes on specific products. Market interventions skew people's notions of actual costs and distort all price signals. In the long run, interventionism is a perilous game to play because it alters human behavior at every level.

Politicians reward unproductive, inefficient behavior and punish constructive action by tampering with our incentives to choose one product over another. It is hard to overstate the

harmful effects of so-called "trade policies" since unintended side effects are impossible to measure. Since a policy can never be proven successful or unsuccessful using empirical evidence, the only way we can predict its impact is through deductive reasoning.

Paved with Good Intentions

Bad incentives don't just result in wasted energy but blur our understanding of morality itself. When central planning masquerades as virtue, the consequences are catastrophic. History offers painful reminders of how bad things can get when coercive policies are pursued in the name of "the greater good."

The concentration camps of Nazi Germany and the gulags of the Soviet Union were not anomalies but predictable side-effects of collectivist ideologies that suppressed individual self-interest in favor of utopian abstractions. The greatest atrocities in human history were committed by people who believed they were helping society while guided by the political narrative du jour. The tragic irony is that everyone would have been better off had they simply focused on improving their own lives instead of that of the collective. The highway to hell is paved with good intentions. The stairway to heaven is built by people who take responsibility for their actions.

Ultimately, actual progress is not engineered from above but cultivated from within — one individual, one innovation, one act of voluntary exchange at a time. Capital accumulation is not merely an economic mechanism; it is the lifeblood of civilization. It allows people to trade time for tools, uncertainty for creation, and ideas for real, tangible improvements to human lives.

When individuals are free to pursue their own betterment without coercion, society flourishes as a byproduct. When that freedom is restrained in the name of equality or control, we don't just lose efficiency, we lose our *humanity*.

A society that rewards saving, responsible risk-taking, and peaceful cooperation will always outpace one that punishes success to subsidize failure. If we truly seek a brighter, freer future, we must first defend the conditions that make progress possible.



"This grieved me heartily, and now I saw, though too late, the folly of beginning a work before we count the cost, and before we judge rightly of our own strength to go through with it."

Prices

Market Mechanics

Economic progress is not imposed from above but emerges from voluntary exchanges between individuals in a free market. Those who can see what others don't, the *entrepreneurs*, initiate the mechanisms that set progress in motion.

While entrepreneurs can make significant profits by improving production processes, the greatest beneficiaries of capital accumulation are often the least well off because of the reduced prices that follow. We reach this conclusion using deductive reasoning, beginning from a set of irrefutable truths about human action. To understand how prices arise, we must examine the forces that influence how individuals evaluate alternatives and choose whether or not to act.

The market is not a machine but a living process that emerges from individuals ranking and selecting between options. Metaphors can help describe this process but must never be mistaken for literal truths. In praxeology, metaphors are only tools used to illustrate phenomena that result from human behavior.

As discussed earlier, a price is a ratio between two goods. We express the price of a good in terms of the quantity of the good we're exchanging. A price is thus the outcome of two market actors exchanging information about how they value what they get in terms of what they give up. In barter trade, this ratio is all there is to it. In the market, more factors are at play. Market participants trade indirectly using a common medium of exchange called *money*. Money is on one side of all market transactions, allowing market participants to perform *economic calculations*.

Appraisement

A producer of a specific good must find a suitable price for that good in order to make a profit. The window between the highest and the lowest price he can charge his customers can be quite narrow. If producers set the price too high, fewer customers will buy the product, forcing the producer to keep the excess supply. Storing large amounts of a good can be rather costly.

If the price is too low, the producer will be unable to keep pace with consumer demands, thereby missing out on potential profits. The producer eventually reaches a point where producing another unit of the good isn't profitable anymore. The more competing producers we add to the mix, the narrower the **price window**. Thus, the final market price of the good is affected by both supply and demand.

Prices serve as *information signals*. Entrepreneurs compete with each other by setting prices low enough to attract buyers but high enough to cover costs. If selling a particular good becomes highly profitable, more producers follow that signal and enter the market, increasing supply and driving the price down until profit margins shrink or even vanish entirely. The

reverse is also true: if profit margins are too low or even non-existent, entrepreneurs can choose to follow that signal and allocate their efforts elsewhere.

This self-regulating tendency is what economists call the push toward **equilibrium**, where supply meets demand perfectly, and no excess profit is available. However, this point is *purely theoretical*. The market is an ever-changing environment, and any theoretical "all else being equal" -scenario never actually happens in reality. Like all praxeological metaphors, *imaginary scenarios* are helpful tools for understanding specific market phenomena but are purely abstract constructs.

It's important to note that the prices for producer goods are set based on an entrepreneur's appraisal of their future usefulness in meeting consumer demand. This forward-looking estimation is known as **appraisement**. This is not calculation in the strict mathematical sense but an individual judgment. Entrepreneurs must speculate, invest, and rearrange scarce resources not for their own ends, but to satisfy the unknown ends of others. In other words, by definition, they cannot know what those ends actually are at the time of appraisal.

Price signals are the feedback loop that makes *appraisement* possible. They are not arbitrary numbers, but compressed expressions of dispersed knowledge about supply and demand across time and space. The freer the price system, the clearer the signal to the entrepreneur. Conversely, the more accurate the *appraisement*, the more efficiently capital is allocated.

Monopolies

One widespread fear among economists is that a free market will inevitably produce **monopolies**. These are usually defined as companies that dominate an industry and control the supply of a particular good or service. But this assumes there's a way to objectively define what counts as *a particular good*.

As we've seen, value is subjective. A consumer may prefer a more expensive item due to nostalgia, brand loyalty, or emotional connection. Physically identical goods are not necessarily equal in value. A specific worn-out teddy bear might mean more to someone than a brand-new one of the same kind. Because value judgments are personal and ordinal, they cannot be measured or compared across individuals. Therefore, we cannot define monopolies based on product categories in any *objective* sense.

For example, Coca-Cola may have a monopoly on selling Coke to a specific restaurant, but consumers can still choose water, coffee, or go elsewhere entirely. In this light, the term *monopoly* loses clarity and relevance.

The same is true for so-called *monopoly pricing*. In a free market, all exchanges are voluntary. Consumers can always abstain or find alternatives. The idea that a seller can "restrict supply to raise prices" assumes the absence of competition. But competition always exists in some way, shape, or form. If a town has one egg vendor, people can buy fewer eggs, switch to bacon, or skip breakfast altogether.

As capital accumulates, more options appear. Even if a company acquires its rivals, it cannot indefinitely set high prices without facing competition. If it raises prices, it invites new entrants. Even if smaller players go bankrupt, their

capital stock remains in circulation, available at a discount to the next innovator.

Monopoly prices is, therefore, a misnomer. All prices in the free market are subject to competitive pressure, even if that pressure comes from different products, ever-changing consumer preferences, or simply the option not to buy at all.

So, do monopolies even exist in the real world? Sadly, yes. But only where **coercion** is involved. A business can find itself in a monopoly position whenever it's allowed to dominate an industry through coercive, violent means. Criminal enterprises can achieve monopolies and force their competitors out of business by threatening these competitors and their families. However, this unfair advantage is not limited to mobs, gangs, and mafias.

Monopolies can and do form wherever there is market interventionism. Taxes on specific goods will inevitably drive out competition, just as government subsidies creates unfair advantages. Moreover, artificially low interest rates, resulting from an artificial increase in a country's money supply, disproportionately favor big companies and drive smaller ones out of business. Ever-changing regulations favor those who can afford to keep up with them and are rarely helpful to smaller companies. In short, coercion — *not capitalism* — is the true source of monopoly power.

Whether enforced by criminal gangs or well-dressed bureaucrats, force always distorts the signals of the free market. When voluntary exchange is replaced by favoritism, intervention, or monetary debasement, inefficiencies grow, opportunities vanish, and human flourishing is stifled.

However, when and where people are free to act, create, compete, and trade in peace, the invisible hand does more than

just coordinate — it liberates. It turns ambition into service, ideas into wealth, and individual betterment into collective progress. In such a market, power flows not from control but from contribution.

In short, while monopolies in free markets dissolve under competition, real monopolies arise only through criminal or political coercion.

Economic Prediction

It's important to note that the value of a finished good is not simply the sum of its parts. All value is subjective. Every economic choice begins with a value judgment, and these judgments cannot be added, measured, or compared in any mathematical sense.

Since human preferences change and lack constants, historical data about past behavior cannot predict future action with certainty. Yet modern economists, educated in government-funded institutions, often treat historical prices like empirical proofs. They claim to model human action mathematically as if economic behavior were governed by fixed laws like the laws of physics. These models are popular among the segments of society that believe they can profit from regulation justified by this supposed evidence.

The Enlightenment gave birth to the *scientific method*, which brought revolutionary advancements in medicine, engineering, and physics. Understandably, many assumed the same technique could be applied to human behavior. However, it wasn't until Ludwig von Mises formalized the logic of purposeful action that praxeology emerged. He recognized that economic truths must be derived from deductive reasoning based on undeniable axioms, not from

statistical patterns. Throughout the ages, it has been difficult for humans to adopt a bird's eye view of the age in which they live. Humans always think their worldview is "modern" and, for the most part, correct.

Science itself can only progress when we dare to question its foundations. Due to the success of the *a posteriori* sciences, the validity of *a priori* knowledge is still widely questioned to this day. But the *very act of questioning* proves the validity of the praxeological axioms. To put something into question in the first place, one *must* act deliberately out of one's own free will. You cannot question anything without simultaneously proving that *human action is purposeful behavior* and that you are in possession of your body's faculties. The only way to corruption-proof economists (or any other scientist, for that matter) is to remove the biased hand that feeds them entirely.

As long as the propaganda machines are as powerful as they are today, with government-subsidized media outlets and at least twelve years of mandatory brainwashing in almost every country, changing people's minds is hard. But logical arguments are our only weapon if the pen is indeed mightier than the sword. This author firmly believes that our species' yearning for the truth will eventually triumph and prevent us from destroying ourselves by denying it.



"I smil'd to myself at the sight of this money, O drug! said I aloud, what art thou good for? Thou art not worth to me, no not the taking off of the ground, one of those knives is worth all this heap, I have no manner of use for thee, e'en remain where thou art, and go to the bottom as a creature whose life is not worth saving. However, upon second thoughts, I took it away..."

Purchasing Power

The Price of Money

Nothing is as crucial to the functionality of a free market as its money. Money constitutes half of every transaction, representing one side of all value expressed in the exchange of goods and services. But what, exactly, is the price of money?

As discussed earlier, the commodity with the highest marketability tends to become a society's preferred medium of exchange — that is, its money. Prices denominated in this common medium enable *economic calculation*, which in turn allows entrepreneurs to spot opportunities, make profits, and push civilization forward.

We've seen how supply and demand determine the price of goods, but determining the price of money is a bit trickier. Our predicament is that we have no unit of account to measure the price of money because we already express prices in, you guessed it, money. And because we cannot use monetary terms to explain it, we must find another way to express money's **purchasing power**.

People buy and sell money (exchange goods and services for it) based on what they expect that money will buy them in the future. As we've learned, acting individuals always make choices on the margin. Hence, the law of *diminishing marginal utility*. In other words, all actions are preceded by a value judgment in which actors choose between their most valued end and their next strongest desire. The law of diminishing marginal utility applies here as it does elsewhere: the more units of a good a person possesses, the less urgent the satisfaction each additional unit provides.

Money behaves no differently. Its value lies in the additional satisfaction it can provide. Whether that's buying food, security, or future options doesn't matter. When people trade their labor for money, they do so only because they value the *purchasing power* of that money more than the immediate use of their time. The cost of money in an exchange is thus the highest utility a person could have derived from the amount of cash they gave up. If a person chooses to work for an hour to afford a rib-eye steak, they *must* value the meal more than one hour of forgone leisure.

Recall that the law of *diminishing marginal returns* tells us that each successive unit of a *homogenous good* satisfies a less urgent desire a person has. Therefore, the value a person attaches to an additional unit diminishes for each unit added. However, what constitutes a homogenous good is entirely up to the individual. Since value is subjective, the utility of each additional monetary token depends on what the individual wants to achieve. To the individual, each extra token is not homogenous in terms of what serviceability it brings *to them*. To a person who wishes to buy nothing but hot dogs with his money, a "unit of money" is the same as whatever the price of a hot dog is. That person has not added a unit of the homogenous good "money for hot dogs" until he has acquired enough cash to buy one more hot dog.

This is why Robinson Crusoe could look upon a pile of gold and deem it worthless. It couldn't buy him food, tools, or shelter. In isolation, money is meaningless. Like all languages, it requires at least two people to function. Money, above all, is a tool for *communication*.

Inflation and the Illusion of Idle Money

People choose to save, spend, or invest based on their *time preference* and their expectations about money's future value. If they expect purchasing power to increase, they'll save. If they expect it to fall, they'll spend. Investors make similar judgments, often redirecting money toward assets they believe will outpace inflation. But whether saved or invested, money is always doing *something* for its owner. Even money "on the sidelines" serves a clear purpose: lowering uncertainty. A person who holds onto money instead of spending it is satisfying their desire for optionality and safety.

This is why the idea of money "in circulation" is misleading. Money does not flow like a river. It is always held by someone, always owned, always performing a service. Exchanges are actions, and actions happen at specific points in time. Therefore, there is *no such thing as idle money*.

Without its connection to historical prices, money would be unmoored, and personal economic calculation would be impossible. If a loaf of bread cost $1 last year and costs $1.10 today, we can infer something about the direction of purchasing power. Over time, these observations form the basis for economic expectations. Governments offer their own version of this analysis: the **Consumer Price Index** (**CPI**).

This index is supposed to reflect the "rate of inflation" through a fixed basket of goods. However, CPI deliberately

ignores high-value assets like real estate, stocks, and fine art. Why? Because including them would reveal a truth governments would rather hide: inflation is always far more pervasive than the people behind it admit.

Measuring inflation through CPI is an attempt to hide the when-you-really-think-about-it obvious truth about it: The increase in prices is always proportional to the *expansion of the money supply* eventually. The creation of new money always leads to a decrease in the purchasing power of that money compared to what it could have been.

Price inflation is not caused by greedy producers or supply-chain hiccups. It is always, eventually, the result of monetary expansion. When more money is created, its purchasing power falls. Those closest to the source of new money benefit (banks, asset holders, and state-connected companies and corporations), while the poor and wage-earning class bear the brunt of price increases.

The effects are delayed and are difficult to trace directly, which is why inflation is often called the most insidious form of theft. It destroys savings, widens inequality, and increases financial instability. Ironically, even the wealthy would be better off under a sound monetary regime. In the long run, inflation harms everyone. Even those who appear to benefit in the short term.

The Origins of Money

If money's value comes from what it can buy, and if that value is always judged against past prices, how did money acquire its initial worth? To answer this, we must look backward to the barter economy.

The good that evolved into money *must* have had non-monetary value before it became money. Its purchasing power must initially have been determined by the demand for some other use case. Once it began serving a second function (as a medium of exchange), its demand increased, and so did its price. The good now served two distinct purposes for the owner: providing *utility value* on the one hand and functioning as a *medium of exchange* on the other. The need for the latter use case tends to overshadow the former over time.

This is the core of **Mises' Regression Theorem**, which explains how money arises naturally in markets and always retains a link to past valuations. It is not an invention of the state but a spontaneous outgrowth of voluntary trade.

Gold became money because it met the criteria of being a good money: it was durable, divisible, recognizable, portable, and scarce. Its use in jewelry and industry still gives it use-value today. For centuries, banknotes were mere *receipts* redeemable for gold. The lightweight and compact banknote proved the perfect solution to gold's transportability problem. Unfortunately, the issuers of these receipts quickly realized they could issue more gold tickets (banknotes) than they had backing for in their vaults. This *modus operandi* is still in use today.

Once the link between gold and banknotes was severed altogether, governments and central banks were free to create money *ex nihilo*, leading to today's unbacked fiat systems. Under fiat regimes, politically connected banks can be bailed out, even if they fail. The result is moral hazard, distorted risk signals, and systemic instability, all funded by the quiet expropriation of savings through inflation.

Money's temporal connection to historical prices is vital for the market process. Without it, personal economic

calculations would be impossible. The *Money Regression Theorem*, described in the previous section, is a praxeological insight often overlooked in discussions about money. It explains why money is not just an imaginary construct by some bureaucratic wizardry but has a real connection to a point when someone's desire to trade means for a specific end spawned it into existence in the free market.

Money is a product of voluntary exchange, not a political invention, a shared illusion, or a social contract. Any commodity with a limited enough supply could be used as money, presuming it ticked off all the other boxes necessary for a suitable medium of exchange. Anything durable, portable, divisible, uniform, and acceptable will do. Suppose the Mona Lisa had been infinitely divisible. In that case, its parts could have served as money, but only if there was an easy way to verify that they were actually from the Mona Lisa and not counterfeited.

Speaking of the Mona Lisa, there's an anecdote about some of the most famous painters of the twentieth century that perfectly illustrates how an increase in the supply of a monetary good affects its perceived value. These painters realized they could use their celebrity status to enrich themselves in a peculiar way. They figured out that their signatures were valuable and that they could pay their restaurant bills by simply signing them. Salvador Dali allegedly even signed the wreck of a car that he had crashed into and thus magically transformed it into a valuable piece of art. Eventually, though, these tactics stopped working. The more signed bills, posters, and car wrecks there were, the less valuable an additional signature became, perfectly demonstrating the law of diminishing returns. By adding *quantity*, they reduced *quality*.

The World's Largest Pyramid Scheme

Fiat currencies operate under similar logic. Increasing the money supply devalues each existing unit. While the early recipients of new money benefit, everyone else suffers. Inflation is not just a technical issue but a *moral one*, too. It distorts economic calculation, rewards debt over savings, and robs those least able to defend themselves against it. In this light, fiat currency is the world's largest pyramid scheme, enriching the top at the expense of the base.

We accept broken money because it's what we've *inherited*, not because it serves us best. However, when enough people realize that **sound money** (money that can't be counterfeited) is better for the market and humanity, we may stop settling for fake gold receipts that cannot feed us and start building a world where value is real, honest, and earned.

Sound money arises through voluntary choice, not political decree. Any item that satisfies the basic criteria of money can serve as money, but only *sound money* allows civilization to flourish long-term. Money is not merely an economic tool but a moral institution. When money is corrupted, everything downstream — savings, prices, incentives, and trust — is distorted. But when money is honest, the market can coordinate production, signal scarcity, reward thrift, and protect the vulnerable.

In the end, money is more than a means of exchange. It is a safeguard of time, a record of trust, and the most universal language of human cooperation. Corrupt that, and you don't just break the economy. You break civilization itself.



"Man is a short-sighted creature, sees but a very little way before him, and as his passions are none of his best friends, so his particular affections are generally his worst counselors."

Time Preference

Time as Action

As we have learned, the praxeological notion of *the present* differs from how other scientific disciplines define it. In the empirical sciences, the present refers to a specific point in time. In physics, it can even represent a particular point in space-time. In praxeology, the present encompasses *the entirety of the action*: the time absorbed by the choice of action, the act itself, and its completion. Whether completion brings utility or disutility is irrelevant to the praxeological meaning of *the present*.

The true cost of action is always the opportunity cost: what's sacrificed by choosing one course over another. We cannot measure the cost of an action by time alone. What options are available to a person change from moment to moment, and thus, so do the opportunity costs for choosing to do one thing over another. This causal, temporal relationship is what separates *praxeological time* from *measurable time*.

The extended present of action consists of two parts: **working time** — the effort expended toward a goal — and **waiting time** — the interval between that effort and the

attainment of the goal. Together, they form the **period of production**.

Growing a crop illustrates this clearly: planting the seed is *working time*, and waiting for it to bear fruit is *waiting time*. Even drinking a beverage includes both types — lifting the glass and swallowing is *working time*, and only after some *waiting time* can the drinker assess whether their thirst was quenched.

There's always waiting time in the extended present of human action. The period of production must be accounted for since action implies choosing one thing over another. Even if a person had enough money to buy all the theme parks in the world and enough leisure to spend the rest of their life at these places, they would still have to choose one action at a time. One cannot simultaneously visit Disneyland and Disney World.

Actors always consider the means they possess in the present and act according to what they believe those means will yield in the future. Past means cannot be changed by present action. Experience may inform better choices, but it cannot change the past. All action is aimed toward the future. In acting, we sometimes only consider the impending moment and sometimes a more distant point.

The **period of provision** is the time horizon over which people weigh these decisions. The **duration of serviceability** refers to how long the achieved end continues to satisfy the actor. Combined with the **period of production**, these three time factors shape our decision-making:

- **The period of production** (labor time and waiting time)

- **The period of provision** (the time all intermediate actions take)
- **The duration of serviceability** (how long the final product is useful)

To illustrate how these interact, consider a 46-year-old man who decides to write a book on praxeology. Before writing, he evaluates how long the book will take and weighs that against everything else he could do instead. He will also factor in how long that book will be of service to him, including (but not limited to) whatever yield it will bring him in terms of money. After all, writing a book can bring much more satisfaction than mere financial gains. Lastly, he will consider how writing this book will play into his entire array of decision-making. He must consider whether the time investment will benefit him long-term — freeing time later, building momentum, attracting readers, or increasing his reputation and sales. All of these are time factors that he has to take into more or less consideration before deciding to sit down and start writing.

The Universal Law of Time Preference

All actors prefer the satisfaction of an action sooner rather than later. To claim otherwise would be absurd. Even saving (delayed gratification) is about reducing uncertainty *now*, not about postponing consumption forever.

How willing a person is to delay gratification is called **time preference**. A *high time preference* favors short-term rewards, while a *low time preference* indicates patience. A person's time preference can never be zero, as that would imply a willingness to postpone everything forever, and time

preference is thus always positive. We call this **the universal law of time preference**.

People always prefer an additional unit of a *homogenous good* sooner rather than later. However, what counts as homogeneity is up to the individual. Someone might refuse a green apple now to wait for a red one later. In that case, "apple" is not a homogenous category. Homogeneity in money is often referred to as **fungibility** (or **uniformity**) and is one of money's six core properties. A currency must be *fungible* so that a banknote equals the value of the coins printed on it. But whether money is truly fungible is not binary.

To illustrate this point, let's focus on India for a bit. On November 8, 2016, the government of India announced the demonetization of all 500-rupee and 1000-rupee banknotes in use at the time. It also issued new banknotes that people could exchange for the demonetized ones. The government claimed its main objective was to curb the usage of black money, which included unreported and thus untaxed income. The people of India kept using the old banknotes, but their value dropped over time, illustrating their lack of fungibility.

An example of the opposite effect can be found in *Monopoly* money. A 1935 Trade Mark Edition Monopoly board game box set is worth somewhere between $400 and $1000 today. The box contains around twenty thousand units of toy money, making each monopoly dollar worth between two and five cents. Considering that the game's original 1935 price was about two dollars, we can conclude that those monopoly dollars have stored value orders of magnitude better than "real" dollars. Not to mention the New York museum that once paid $146,500 for one of the original five thousand copies of the original, handmade version of the game.

When people have children, their perspective often shifts. They begin to think more long-term. The kids themselves, on the other hand, typically have a higher time preference as they're still learning how to predict outcomes. In this sense, growing up means lowering your time preference — taking responsibility. Time preference often rises again late in life, especially for those without children. Time preference, like all other value judgments, is dynamic and personal.

The Productivity of Time

Time preference also relates to production, not only consumption. The yield one acquires by engaging in production differs from process to process, but the more time one devotes to producing a good, the higher the potential returns. In other words, the producer must take a low time preference approach in order to accumulate the capital they need. Before entering a long production period, one must accumulate enough capital to satisfy all intermediate, more urgent needs.

Say that Robinson Crusoe wishes to build a canoe to catch fish in the ocean, not just the pond. To free up the time needed to create a canoe, he must first stockpile food to eat during the construction process. To save enough fish, he first needs to make a net, which, as explained earlier, he can only do by first catching enough fish with his hands to commence that production process.

Shorter production processes precede lengthier ones in this way. For this reason, people must always lower their time preferences to start a more prolonged process. In other words, they have to delay their consumption of present goods. By reducing your time preference, you speed up your process of capital accumulation. Increased capital accumulation and

lengthier, higher-yielding production processes raise the *marginal utility of labor*.

Put simply, more sophisticated production processes make each man-hour more productive. This leads to higher wages and more employment. As society lowers its time preference, the productivity of land, labor, and capital rises. Capital, in this light, is time stored up. The more you have, the fewer sacrifices you need to make to reach your goals.

Another thing to consider when analyzing time preference and capital accumulation is the **convertibility** of capital goods. If a producer realizes a venture will fail, they may try to **repurpose** their capital. The more specific the capital good, the harder this is. Crusoe can easily reuse a rope, but not a half-built canoe. A purpose-built circuit board for an industrial robot may be entirely non-convertible. The more specific purpose the capital good has, the more expensive it becomes to convert it into something that can be useful in another production process. Despite this, longer processes using specialized tools are still more productive. More advanced tools create greater output. Yet, even cutting-edge machines won't be adopted until enough capital is accumulated to justify trying them.

The Unseen Cost of Stolen Time

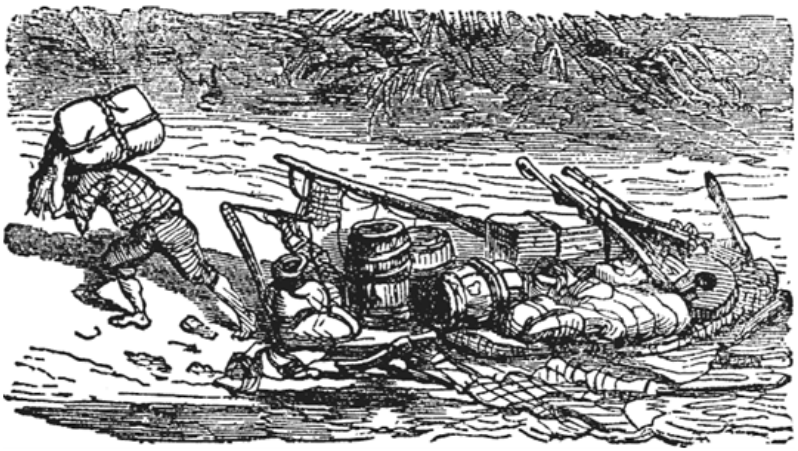
Capital accumulation is paramount for producers and consumers to advance. People don't rush to replace their old cars just because a new model hits the market, and car manufacturers don't erect robotic giga-factories on a whim. In short, time preference shapes not only how we act now but how much we can accomplish over time. The longer we're willing to wait, the more effectively we can allocate labor, resources, and ambition toward larger goals. Whether saving

for a canoe or planning a business, delayed gratification is the engine behind every major leap forward.

Setting capital convertibility aside, let us focus on what outside forces might affect a person's time preference instead. A person with no belongings must adopt a high time preference to survive. A person with all his belongings stolen finds himself in this situation. When you have nothing, you must prioritize your most basic needs. Finding food and shelter will overrule any other desires on your value scale.

In contrast, when you have a lot of capital, you can afford to adopt a low time preference and focus on long-term goals. However, theft inevitably affects your time preference. There's a clear connection between what you have and how ambitious your dreams can be. Who the robber is doesn't matter — when someone deprives you of your belongings, you must regress into a comparatively more primitive mode of living.

If someone regularly forces you to give up parts of what you own, like when you pay taxes, you might never advance because you must constantly forgo your long-term plans. The damage this does to society is immeasurable, even in places with "modest" taxes. Plus, we never get to see what could have been. An apple farmer with just one tree might profit enough to plant a second the following year. If allowed to continue, he could double his output annually, lower prices, and enrich society *exponentially*. If half his profits are taxed away, the second tree is never planted, and the exponential gains that might have followed vanish with it. The alternative timeline never reveals itself. This is the unseen cost of stolen time.



"I had more care upon my head now than I had in my state of life in the island where I wanted nothing but what I had, and had nothing but what I wanted; whereas I had now a great charge upon me, and my business was how to secure it. I had not a cave now to hide my money in, or a place where it might lie without lock or key, till it grew mouldy and tarnished before anybody would meddle with it; on the contrary, I knew not where to put it, or whom to trust with it."

Loans and Interest

Time is Money

As we've learned, acting individuals always prefer satisfying the same end sooner rather than later. This principle is known as the *universal law of time preference*. One can only create or save capital by lowering one's time preference and resisting the urge for immediate gratification. When this occurs broadly in society, the market functions well, and civilization progresses. We've also explored how capital goods are necessary for producing consumer goods. The more productive the capital good, the sooner the final product emerges. A shovel lets you dig ten holes instead of one, saving nine hours of labor. In this sense, the shovel brings the end goal (a planted tree) closer in time.

Since capital goods arise from human labor applied to natural resources, they represent time that has been stored. Every tool, technology, or machine ever made has the same single purpose: to save time. In praxeological terms, *time and capital are interchangeable*. Time is money — quite literally.

More capital allows an entrepreneur to be closer in time to their desired ends. However, production costs must remain below the product's final price for an entrepreneurial venture

to be *profitable*. Furthermore, the capital goods used must be productive enough to make this margin possible. In a developed market economy, almost all production occurs via **indirect exchange**, which makes money itself a capital good — the *most convertible* capital good, in fact, since it can be exchanged for anything else. In this sense, money is stored time.

Workers often earn salaries that are disproportionately low compared to their employer's earnings. Yet, they accept these fixed wages in exchange for the stability and predictability of steady employment. The entrepreneur, by contrast, assumes greater risk and thus keeps the potential for greater reward. Entrepreneurs must also be *capitalists* since production requires them to supply the time and resources (capital) to bring a product to market.

A dynamic market is inherently unpredictable. Catallactic competition, the rivalry among market actors, pushes prices toward *equilibrium*, leaving little room for error. Entrepreneurs must constantly monitor the market and adjust course. No risk, no reward.

The Price of Tomorrow

Now, imagine a world without risk: a scenario in which no entrepreneurial venture could ever bring loss or profit. The entrepreneur would cease to exist in such a world, but the *capitalist* would remain. Every production process requires *factors of production*, and even in a risk-free economy, someone must save capital to provide time, labor, and land to produce goods. In this sense, the capitalist is the worker's *time supplier*.

An investment is, at its core, a time trade. Capitalists exchange a **present good** (money) for a **future good** they

believe will be worth more later. This simple truth explains the phenomenon of **interest**.

Imagine a lender loans out 100 units of money, to be repaid in one year with an additional 5 units. That 5% return is the **interest rate**. The lender is signaling a willingness to give up immediate access to the money for the promise of future gain, demonstrating a lower time preference than the borrower, who values money now more than later.

Without trades like this, workers would need to wait until a product is completed and sold before receiving any wages. We can thus define a wage as a discounted good in the form of money that employees accept as a substitute for whatever yield their labor could have earned them in the future. The capitalists' primary function is thus to *supply time.* Their capital stock is like a sorcerer's mana pool in a computer game — a source of magic that they can use to buff their fellow gamers' stats to make progress in the game.

Trying to separate time from economics is a fool's errand. All production requires capital goods, and capital goods represent sacrificed time. Any economic theory that removes the capitalist's role from the market misunderstands the essence of capital. When money functions correctly, *time truly is money*, metaphorically and structurally.

The premium of the return of a capital good is the value of time determined by the price spread through each production process. This spread reflects the value of time and is expressed as the *interest rate*. Since all capital goods are time investments, the time market consists of more than just money loans — it includes every instance where someone delays gratification to enable future production.

In an imaginary risk-free world, we could theoretically isolate the capitalist's role from the entrepreneur's, but in reality, the two are inseparable. Every capitalist is necessarily also an entrepreneur because every productive action involves risk.

Entrepreneurs must constantly evaluate both time and *interest rates*, which are shaped by risk, opportunity costs, and the uncertainty inherent in lending. Just as prices trend toward equilibria, so too do interest rates. If one lender offers a lower rate than another, arbitrageurs will exploit the gap (borrowing low and lending high) until the discrepancy disappears.

As with all other goods and services, supply and demand determine the price of borrowing. And since people always prefer something sooner rather than later, time preference is always positive. This makes the pure market interest rate a reflection of society's *average time preference*, as it is the average ratio between present and future goods. But here's the key insight: the market interest rate doesn't just reflect money supply but the real scarcity of goods and the cost of time. And because praxeology treats time as a factor of production, it reveals why inflating the money supply cannot reduce real interest rates without shifting the cost to others via rising prices.

There is no such thing as a negative time preference. Credit can be cheap but never free. Artificially low interest rates don't create new resources but *redirect existing ones*, often away from where they're needed most. This distorts the market process, increases inequality, and erodes trust in economic signals.

The Illusion of Progress

In post–World War I Weimar Germany, the government attempted to paper over war debts and reparations through unchecked monetary expansion. As the *Reichsbank* printed trillions of marks, prices soared so fast that a day's wage in the morning couldn't buy a loaf of bread by evening.

This hyperinflation wasn't just a technical failure of monetary policy but a civilizational assault on the capital structure. People's savings — the result of years, even decades, of deferred consumption — were obliterated in months. Businesses could no longer calculate profit or risk as markets ceased functioning as information systems. Time itself was distorted.

For a more recent example, central banks around the world responded to the government-enforced COVID-19 lockdowns with unprecedented monetary and fiscal interventions. Trillions of fiat currency units were injected into the economy under the assumption that ultra-low or near-zero interest rates would stimulate growth. Unprofitable firms kept alive by cheap credit (often called zombie companies) flourished, while savers were punished and asset prices decoupled from productivity.

The illusion of abundance created by this monetary anesthesia did not produce new wealth; it merely reallocated existing capital away from sustainable production toward political and financial arbitrage. Once declared "transitory," inflation returned with a vengeance as a delayed albeit entirely predictable invoice for mispriced time.

Interest is not a magic tax on money; it is the *price of time* in a world of scarcity, risk, and choice. Capitalism is not a political system but a network of time trades, and it is inseparable from any market process. Artificially lowered interest rates don't grow the economy, they simply reroute resources from the poor to the rich, weaken the market's signaling system, and trade real progress for the illusion of it.



"My father, a wise and grave man, gave me serious and excellent counsel against what he foresaw was my design."

Capital Theory

The Mechanics of Progress

Interest is not merely the price of a loan but the economic reflection of a more profound truth: *humans act*, and in doing so, they prefer the same satisfaction sooner rather than later. The phenomenon is known as *time preference*, and it is universal, meaning that it is always true for all people.

As we've seen, time preference cannot be zero since that would imply total inaction and, effectively, death. Man *must* act. Starting from this axiom, we've reasoned our way to further insights, namely, that capital accumulation is a necessary precursor to economic growth. Building on these foundations, we can now deduce how a functioning free market channels low time preference into rising prosperity.

Let's walk through what happens when a society voluntarily lowers its time preference, using a simplified *imaginary construct*: an economy with no profits or losses. In such a setting, what follows when people begin saving more and consuming less? The answer unfolds in three interrelated effects: a lowering of *time preference*, a decrease in *interest rates*, and a shift in the relationship between *capital* and *labor*.

Lowering Time Preference

A general lowering of time preferences means an increase in saving and investment and a corresponding decline in present consumption. In our theoretical profit- and loss-free economy, this shift begins when net savings exceed net consumption.

The first observable effect is a reduction in consumer prices. Even though praxeology is an *a priori* science that doesn't rely on observation, let's use the term *observation* here to clarify the point. When individuals reduce their present consumption, producers of consumer goods must respond. To avoid going out of business, they lower prices and shrink margins. The closer a company is to the final consumer, the greater the impact.

Interestingly, capital goods producers aren't affected immediately — their inputs will adjust more gradually as the price signals ripple through the structure of production. Reduced consumption shifts the market's signal: people now favor *quality* over *quantity*.

Declining profit margins in consumer goods incentivize entrepreneurs to move investment further up the production chain and into earlier stages. This reallocation adds new steps to production, often resulting in technological advancement. As a result, we get *better goods at lower prices.* Savings naturally migrate to these earlier stages, extending the structure of production and increasing its depth. Eventually, this cascade stabilizes. The new, lower average time preference becomes evenly reflected across all production sectors.

In other words, if Robinson Crusoe and all the other fishermen in the world save enough money to buy fishing nets, the market will provide them with the nets. If the

fishermen continue saving, the market will ultimately respond by offering them an improvement to their nets and, eventually, even robotic trawlers.

Lower Interest Rates

The second effect of reduced time preference is a drop in interest rates. Since interest is the ratio between the price of present goods and future goods, it follows that in a world where delayed gratification is valued, competition for loans rises, and interest rates fall.

Entrepreneurs evaluate capital goods based on their *marginal productivity*, meaning how well they help produce consumer goods in the future. In other words, the price of a capital good trends toward the present value of its expected future productivity. When time preferences fall, interest rates drop, and these same capital goods become more valuable because they now yield returns over a longer, more profitable horizon. Longer production processes become economically viable. As structures deepen, the average duration of capital goods increases, raising their productivity. This productivity gain makes previously unprofitable ventures worthwhile and encourages investment in more advanced technologies.

Let's return to Robinson Crusoe. Imagine he's now a small-scale fisherman in a functioning economy. If interest rates are high, he may be unable to afford a loan for a larger boat. The potential yield doesn't justify the cost. However, if society saves more, interest rates fall, and loans become cheaper to repay. Robinson can now afford the boat. This is an example of **vertical deepening** — an investment in a more advanced production stage. If he instead uses the cheaper loan to buy a second small boat, he's **horizontally widening** his operation.

To sum up, a general increase in savings leads to more competition in the loan market, lowering the going rate of interest. Lower interest rates mean lower prices for consumer goods and increased prices for capital goods in proportion to their distance from consumption. The increased value of the capital goods, in turn, leads to an expansion of the general production structure, either *vertically* or *horizontally*. New, lengthier processes become profitable, and existing ones can expand and increase production. The result? More affordable, higher-quality goods available to more people.

A general lowering of time preference also affects the stock market. When society increases its savings, companies that handle production stages far from consumption increase in value. In contrast, companies in the consumer goods sector experience a temporary relative decline.

Capital and Labor Rebalance

The third significant effect of a general drop in time preference is a change in the relationship between capital and labor. As consumer prices fall, real wages rise. Workers can buy more with the same money, increasing their standard of living. Real wages are tied to purchasing power, which rises alongside productivity, assuming central banks don't sabotage the process by expanding the money supply. Sadly, they often do. But in a healthy market, falling prices reward workers.

The flip side of an increase in real wages for workers is the loss of profit for entrepreneurs who produce consumer goods. For them, labor has become relatively more expensive, and to adjust, they often replace workers with machines and automation. If capital becomes cheaper than labor, entrepreneurs tend to invest in more capital-intensive and, therefore, *more advanced* production stages. Over

time, low-time-preference societies automate more and move toward advanced production. This also explains why civilizations in colder climates (where survival required long-term planning) historically advanced faster than those in more temperate regions. Harsh winters reward foresight.

Crusoe's trawler competes with his earlier method of catching fish by hand. Similarly, email competes with postal workers. As saving rises, the demand for unskilled labor shrinks while the demand for higher-skilled, tech-adept labor grows. It's worth noting that artificial market interventions can superficially mimic this process but never replace it. The touchscreen ordering system at McDonald's exists mainly due to minimum wage laws, not organic innovation.

Negative interest rates aren't natural either; they're created through money printing, and someone always pays the hidden cost. Electric vehicle companies often trade at lofty valuations because of subsidies and easy money, not inherent economic efficiency.

Feedback Loops

Praxeological capital theory explains how societies advance one logical step at a time as people begin to think more long-term. Lowered time preferences lead to longer production chains, more goods, better goods, and lower prices. The results benefit everyone, *especially low-income earners.*

Today, a worker earning just a few dollars a day has access to tools and services a millionaire could barely dream of a hundred years ago. His smartphone contains a phone, GPS, camera, flashlight, and access to the entire Internet and everything on it. Books, newspapers, music, and movies all

trend toward zero marginal cost. Today, the only cost of most content is the time spent to consume it.

The smartphone is a truly remarkable example of what a global free market can spawn. Even in the intervention-laced free market of the twenty-first century, technological deflation has made many products accessible to almost everyone on the planet. The notion that a market functions best when inflationary currencies encourage people to spend more is false and dangerous. The smartphone emerged from the market *despite* people using inflationary currencies, not because of them.

Economic progress *naturally causes prices to fall*. That's the logical result of productivity gains, and we see it clearly in industries like computing, logistics, and agriculture. The cost of storing a megabyte or shipping an avocado has fallen dramatically. The pace of progress in the past decade exceeds that of the previous fifty years *combined*.

The only reason prices remain somewhat "stable," rather than decrease, is the dilution of the global money supply. This monetary dilution must accelerate because of the exponential nature of economic progress. All that money printing leads to is a constant funneling of wealth from the already empty pockets of the masses into the already abysmally deep pockets of those closest to the currency spigots.

A low-time-preference society builds the future. A high-time-preference society eats it. Capital accumulation *is* civilization. When we save, we store time. When we invest, we multiply it. And when we distort interest rates, we destroy it. The future belongs to those who prepare for it.



"I found in this seaman's chest about fifty pieces of eight, in rials, but no gold: I supposed this belonged to a poorer man than the other, which seemed to belong to some officer."

Counterfeiting

Modern Money and the Fiat Illusion

Now that we've explored how a saleable good becomes money on the free market and how low-time-preference thinking leads to progress and falling prices, we can take a closer look at how money functions today.

You may have heard about negative interest rates and wondered how they square with the fundamental principle that time preference is always positive. Or perhaps you've noticed rising consumer prices, with media outlets blaming everything *but* monetary expansion. The truth about modern money is a hard pill to swallow because once you understand the magnitude of the problem, things start looking pretty bleak. Human beings cannot resist the urge to enrich themselves by exploiting others through printing money.

The only way to prevent this, it seems, would be to remove us from the process altogether, or, at the very least, separate money from state control. Nobel Prize-winning economist Friedrich Hayek believed this could only be done in "some sly, roundabout way." The United Kingdom was the first nation to weaken the link between national currencies and gold. Before World War I, nearly all currencies were redeemable

in gold, a standard that had emerged over thousands of years as gold became the most saleable good on Earth. However, by 1971, convertibility was abandoned entirely when U.S. President Richard Nixon famously proclaimed he would "temporarily suspend the convertibility of the dollar into gold" and unilaterally severed the final link between the two. He did this (at least partially) to finance the Vietnam War and preserve his political power.

We won't dive into every detail of fiat currency here, but here's what matters: state-issued money today is not backed by anything tangible but entirely created as debt. Fiat currency masquerades as money, but unlike actual money (which emerges from voluntary exchange), fiat is a tool of debt and control.

Every new dollar, euro, or yuan enters existence when a large bank issues a loan. That money is expected to be paid back with interest. And since that interest is never created alongside the principal, there is *never* enough money in circulation to repay all debts. In fact, more debt is *necessary* to keep the system alive. Modern central banks further manipulate the money supply through mechanisms like *bailouts*, which prevent inefficient banks from failing, and *quantitative easing*, which adds even more fuel to the fire.

Quantitative easing is when a central bank purchases government bonds by creating new money, effectively trading IOUs for freshly printed currency. A bond is a promise by the government to repay the borrowed money with interest. That promise is backed by the state's power to tax present and future citizens while you and your heirs are forced to cope with rising prices. The result is a quiet, continuous wealth extraction from productive people through inflation and debt servitude.

Money printing continues under the banner of **Keynesian economics** — the doctrine that underpins most modern government policies. Keynesians argue that spending is what drives an economy forward and that if the private sector doesn't keep spending, the government must. Every dollar spent, they claim, adds one dollar worth of value to the economy, but this view ignores the reality of value dilution through inflation. It's *Bastiat's Broken Window Fallacy* all over again. Adding zeros adds precisely zero value.

If money printing could actually increase wealth, we'd all own super yachts at this point. Wealth is created through *production*, *planning*, and *voluntary exchange*, not by increasing the number of digits on a central bank's balance sheet. As we've already seen, real progress stems from people trading with others and their future selves by accumulating capital, delaying gratification, and investing in the future.

Fiat Currency's Final Destination

Printing more money doesn't speed up the market process, but distorts and retards it. Literally. Slow and stupid follows. Ever-decreasing purchasing power makes economic calculation more difficult and slows down long-term planning.

All fiat currencies eventually die. Some collapse via hyperinflation. Others are abandoned or absorbed into larger systems (such as smaller national currencies being replaced by the euro). But before their end, fiat currencies serve a hidden purpose — they *transfer wealth* from those who create value to those with political proximity.

This is the essence of the **Cantillon Effect**, named after 18th-century economist Richard Cantillon. When new money enters the economy, its first recipients benefit most — they

can buy goods before prices rise. Those furthest from the source (ordinary workers and savers) absorb the cost. Being poor in a fiat system is very expensive.

Despite this, politicians, central bankers, and establishment economists continue to assert that a "healthy" inflation rate is necessary. They should know better. Inflation does not fuel prosperity. At best, it shifts purchasing power. At worst, it erodes the very foundation of civilization by undermining trust in money, savings, and cooperation. The abundance of cheap goods in today's world was created *in spite of* taxes, borders, inflation, and bureaucracy — not because of them.

The Good, the Bad, and the Ugly

When left unhampered, we know that the market process tends to deliver better goods at lower prices for more people. That's what real progress looks like. Interestingly, praxeology isn't just a tool for critique but a framework for appreciation. Many people grow cynical once they see how deep the dysfunction runs, but praxeology offers clarity: it helps you see how *productive people* are the real drivers of human flourishing. Not governments. Once you understand this point, even the most mundane forms of labor take on greater meaning. The supermarket cashier, the cleaning staff, and the taxi driver all contribute to a system that meets human needs through voluntary cooperation and value creation. *They are civilization.*

Markets produce goods. Governments, by contrast, tend to produce *bads*. Catallactic competition, where businesses strive to serve customers better, is the engine of innovation. Political competition, where parties fight to control the state, rewards manipulation, not merit. The most adaptable rise in markets. The most unscrupulous rise in politics.

Praxeology helps you understand human incentives. It teaches you to watch what people **do**, not just what they say. More importantly, it teaches you to consider what *could have been*, not just what *is*. That's the unseen world, the alternative timelines erased by intervention.

Fear, Uncertainty, and Doubt

Human psychology is biased toward fear. We evolved to survive threats, not to admire flowers. That's why alarmism spreads faster than optimism. The proposed solution to every "crisis" — whether related to terrorism, pandemics, or climate change — is always the same: *more political control.*

Those who study human action know the reason why. For every individual actor, *the end always justifies the means*. The problem is, this fact is true for power-seekers, too. They offer security in exchange for freedom, but history shows us that fear-driven tradeoffs rarely pay off. When you understand these dynamics, the world becomes clearer. The noise fades. You turn off the television. You reclaim your time. And you realize that accumulating capital and freeing your time are not selfish acts. They are the basis for helping others.

Investing in yourself — in your skills, savings, and relationships — enlarges the pie for everyone. You participate in the *division of labor*. You produce *value*. And you do so *voluntarily*. The most radical action you can take in a broken system is to build something better outside of it.

Every time you use a fiat currency, you pay its issuers with your time. If you can avoid using them altogether, you help usher in a world with less theft and deceit. It may not be easy, but endeavors worth pursuing rarely are.



"In the middle of these cogitations, apprehensions, and reflections, it came into my thoughts one day that all this might be a mere chimera of my own"

Argumentation

The Value of Truth

Can science ever derive an *ought* from an *is*? It's an age-old question that philosophers have debated for centuries. The general consensus is "no," but through praxeology, we can get way closer than most people realize.

Let's use the **Austrian method** to examine whether the proposition "We humans ought not to aggress against one another" can be argued against without a logical contradiction. To answer this question, we must examine the only non-violent method for arriving at consensual truth: **argumentation**.

Conflicts between humans arise when individuals hold opposing claims over resources or rights. The only peaceful way to resolve such disputes is through argumentation, a distinct human action that can be analyzed praxeologically. What makes argumentation unique is that it is itself non-violent and aimed at conflict resolution. Moreover, it rests on a set of undeniable *a priori* truths.

In fact, *all* truth claims are justified and decided through argumentation. One cannot dispute this claim without,

paradoxically, using argumentation to do so. Arguing is purposeful behavior, meaning it falls within the scope of human action. When arguing, individuals employ physical means, specifically their bodies, to pursue a specific end: an agreement on the **truth value** of a particular proposition.

Presuppositions

Whether a proposition is objectively true or not is irrelevant. What matters is that the structure of argumentation itself embodies certain immutable principles. Argumentation is, by its very nature, a voluntary and peaceful interaction aimed at conflict resolution. The norms that make argumentation possible, such as its praxeological presuppositions, cannot themselves be argued against without self-contradiction.

There are two such presuppositions. First, every participant in an argument must accept self-ownership: control over one's own body. Arguing against bodily ownership is self-defeating because using one's body to argue presupposes control over it. Denying free will would similarly nullify the very possibility of argumentation. Therefore, whether free will actually exists is not relevant to praxeology. If it doesn't, nothing matters — the universe is deterministic, and there is no deliberate human action. You have no choice but to act as if humans have free will.

The second presupposition is the acceptance of prior legitimate ownership, namely, that individuals have the right to the property they have peacefully acquired before the argument began. Ownership arises when an individual mixes labor with nature or receives goods via voluntary transfer, like trade. Disputing legitimate ownership would, again, violate the very terms of argumentation, implying that some participants are less entitled to their tools of argumentation

than others, which would undermine the goal of peaceful conflict resolution.

Thus, one *cannot engage in argumentation without affirming both self-ownership and legitimate property rights.* Arguing against these presuppositions is as futile as arguing against any other praxeological axiom. In doing so, one demonstrates that one seeks to resolve the issue by *arguing* in favor of one's position.

Conversely, suppose one's position suggests that an opponent of the argument is less entitled to the means he is using to argue. In that case, one demonstrates that one does not wish to resolve the conflict by argumentation alone but through some degree of violent means. Not admitting that by arguing one is verbally battling out the conflict on a leveled playing field would be contrary to the very purpose of argumentation — to resolve the issue peacefully.

An Ought From An Is

Now, can these irrefutable axioms derive an *ought* from an *is*? Or at least an ought *not*? In the act of arguing, one cannot coherently deny the right of others to argue. By engaging in argumentation, we affirm the value of intellectual discourse over violence, implicitly endorsing bodily autonomy and property rights. Therefore, although we may not derive a traditional ought from an is, we can show that rejecting individual rights results in logical inconsistency. Thus, if one wishes to argue at all, one must implicitly subscribe to the idea of absolute property rights.

Since these axioms are provable *a priori*, all political philosophies rejecting absolute individual property rights must be deemed logically inconsistent. Consequently, only

one human right is applicable to *all* human beings at all times and can be scientifically upheld without contradiction: **the right to be left alone**.

Sadly, the world we live in is riddled with inconsistencies. No nation today fully respects this right. Even the idea of a "libertarian nation" is paradoxical because this right is universal and not confined to any particular geography. *The ethics of argumentation apply to every human being, everywhere, at all times.* You cannot deny that peaceful argumentation is the only ethical means of arriving at truth without undermining your own argument.

Appropriation

Let's return to Robinson Crusoe for an illustration. Robinson is clearly in possession of his own body. Extending this, Robinson is the rightful owner of whatever goods he *appropriates* from nature since no one else is present to claim them. A dispute over ownership can only occur when a second person arrives. Enter Friday. Should Friday claim that an object possessed by Robinson rightfully belongs to him, his only peaceful recourse is to argue for it. Denying Robinson's property through anything other than peaceful argumentation would contradict the very purpose of argumentation itself. Therefore, **original appropriation** (or **homesteading**) as the correct means of figuring out ownership rights is irrefutable.

Similarly, it is equally indisputable that Friday would be the object's rightful owner had he voluntarily exchanged it with Robinson for some other good or favor. If Friday trades fish for Robinson's coconuts, the transaction reinforces these rights even further. If, instead, Friday manages to forcibly enslave Robinson, the situation degenerates into domination,

and any "argument" between them becomes a farce — the master mocking his slave.

Today, we can trace almost all property ownership back to voluntary *and* involuntary exchanges throughout human history. It is virtually impossible to say that any particular object entirely rightfully belongs to a specific person because to do that, one would have to investigate the actual ownership of all the factors of production that played a role in its creation since the beginning of civilization. Since backtracking rightful ownership to the birth of civilization is practically impossible, we must focus on future conduct and who owns what *in the present*. And the only way to peacefully establish who the legitimate owner of a particular object is at a specific moment is to argue about it.

These fundamental truths about individual ownership also expose modern political practices for what they are: disguised forms of coercion. And, as Bastiat taught us, the unseen consequences of coercion are often more destructive than what is immediately visible. Taxation is the most obvious example. A politician may publicly debate the "fairness" of taxes, but as long as taxpayers are coerced under the threat of punishment, the relationship is *not* one of free equals. No real argument can occur in a master-slave dynamic. Thus, any pro-taxation argument presented under coercive conditions is invalid. Taxation is, provably, *theft*.

When governments tell you they have "granted" you rights, they lie. Governments can only grant **privileges**, which they can revoke. True rights cannot be given; they are *inherent*. As long as you are governed without your consent, you are not free. You are merely permitted to obey. Anyone claiming otherwise is misguided, confused, or engaged in deliberate deception. All arguments against these truths collapse into contradiction.

Your government isn't protecting your freedom; it's mocking it. Understanding the *a priori* ethics of argumentation reveals a sobering truth: freedom cannot be granted — it can only be respected. Until that is properly understood, political promises will remain little more than manipulative theater.



"Thus fear of danger is ten thousand times more terrifying than danger itself."

Natural Law

The Legality of the Law

Modern societies often confuse law with **legality**. People assume that whatever a parliament, king, or committee decrees automatically becomes "law." But calling a thing *lawful* does not make it so. Much like calling printed paper "money" doesn't make it money, declaring a rule "law" doesn't magically make it a natural one. To understand real law, we must, once again, turn to first principles reasoning.

As we've seen, praxeology teaches that humans act purposefully to remove felt uneasiness. Action implies control over scarce resources — primarily, one's own body and, secondarily, external goods. Where there are multiple actors, there is potential for conflict. **Natural law** emerges from this basic reality. It is the structure of norms necessary for peaceful, cooperative action among self-owning beings.

Natural law is not invented by rulers or voted into existence by parliaments. It is **discovered**, much like the laws of physics, by observing the inescapable realities of human action. Just as gravity binds us whether we acknowledge it or not, so too does the natural structure of human rights bind us whether politicians decree otherwise or not. It exists because we *act*,

because we *own ourselves*, and because conflict destroys what all human action seeks to achieve: *the removal of felt uneasiness*.

The alternative to abiding by natural law is constant conflict. And since conflict is destructive to the very purpose of action — to improve one's condition — it follows that the basic rules of natural law must be logically binding on all who wish to act in a world shared with others.

The Foundations of Natural Law

Natural law stems from three undeniable facts:

1. Each individual controls his own body.
2. External goods are scarce.
3. Conflict over scarce goods must be avoided to enable peaceful action.

From these facts, the core principles of natural law arise naturally:

- **Self-ownership**: Every person has the exclusive right to control their own body.
- **Original appropriation**: Unowned goods become property through first use or *homesteading*.
- **Voluntary exchange**: Ownership can be transferred through mutual consent.

These principles are not arbitrary. They are logically necessary for any two actors to peacefully coexist without resorting to violence. Without them, the world collapses into a war of all against all.

To argue against these principles is to engage in a performative contradiction. You *must* control your own body in order to speak. You *must* rely on peaceful communication rather than force. You *must* expect your interlocutor to respect your claims of ownership over your voice and reason. In short, you must already accept the basic preconditions of natural law to argue *at all*.

Legal versus Lawful

In today's political order, the concepts of *legal* and *lawful* have been almost hopelessly muddled. Most people use the two interchangeably, but they are radically different.

- **Legal** simply means that something conforms to the decrees of a ruling authority.
- **Lawful** refers to actions that conform to the deeper, objective structure of the rules that emerge from the nature of human beings as self-owning, acting creatures.

For example, if a government declares that two plus two equals five and criminalizes dissent, it becomes *illegal* to state otherwise, albeit not necessarily *unlawful*.

A law against theft is both legal and lawful. It reflects the natural principle of property rights. However, a law that seizes wealth from some to benefit others (taxation) is merely legal. It has no lawful foundation. It violates self-ownership and the **non-aggression principle** at the heart of natural law. This distinction is crucial. Much of what modern governments enforce as "law" is not law at all but *legally sanctioned crime*. Theft does not cease to be theft because it is rebranded as "taxation." Murder does not cease to be murder because it

is called "war." Slavery does not cease to be slavery because someone claims it's "compulsory servitude."

Legal positivism, or the idea that law is whatever lawmakers decree, is one of the most destructive ideologies in human history. It severs law from justice, rights from reality, and truth from power. It turns morality into a popularity contest and might into right. *Natural law*, by contrast, is indifferent to popularity. It does not care who votes for it, who defies it, or who enforces it. It simply is, and to violate it is to invite the destruction of wealth, life, and, ultimately, civilization itself.

Natural Law Arises from Human Action

Consider Robinson Crusoe again. Alone on his island, Robinson has no need for rules beyond his own conscience. With no one to contest his use of resources, there is no need for property rights. The moment Friday appears, the situation changes. Two actors now exist, each capable of using scarce resources. To avoid conflict, some rules must govern their interactions.

Who owns the coconuts? Robinson owns these nuts because he picked them. Who owns the fishing net? Friday does because he made it. If Robinson tries to seize Friday's net by force or Friday tries to enslave Robinson, peace vanishes. Production halts. Conflict replaces cooperation. Prosperity evaporates.

Robinson Crusoe and Friday enjoy the benefits of division of labor, trade, and peaceful coexistence only by respecting original appropriation and voluntary exchange. In this way, *natural law* arises not from contract or consensus but from the logical structure of action itself.

Natural law is not culturally relative. It is not negotiable. It applies wherever human beings act and wherever scarce resources exist. Different cultures may develop different *customs* about how natural law is expressed — what counts as sufficient homesteading, what constitutes valid consent, and so on — but the underlying principles remain the same. Just as physical laws like gravity do not depend on human opinion, neither does natural law. You cannot vote away the law of non-contradiction. You cannot legislate away the law of scarcity, and you cannot decree by majority vote that theft is no longer theft.

Law Without the State

Attempts to subvert natural law always end in ruin. Civilizations that respect self-ownership and property rights flourish. Those that institutionalize aggression rot from within, descending into poverty, tyranny, and collapse. However, contrary to popular belief, law does not require a monopolistic state to exist or be enforced.

Before the rise of centralized governments, customary law, often based on ancient traditions rooted in natural law principles, governed societies through decentralized mechanisms. Praxeologically, there is no reason why peaceful dispute resolution cannot be provided on a voluntary, competitive basis, just like any other good or service. Courts can be funded by fees instead of taxes, reputation systems can incentivize honesty, and insurance firms can resolve disputes without violence. In fact, wherever market forces are allowed to operate in the realm of law, they produce fairer, cheaper, and more efficient outcomes than government courts, just like what is true for any other good or service.

Lawful order does not require legal monopolies. It requires only a shared recognition of the basic rules of peaceful coexistence. Private law firms specializing in resolving disputes outside the traditional juridical system can and do exist. Before the rise of centralized nation-states, much of Europe operated under decentralized systems like the *Lex Mercatoria* (The Law Merchant), a spontaneous commercial law developed by medieval traders. Without kings, parliaments, and police forces, contracts were honored, disputes were settled, and commerce flourished within and across borders to a relatively large degree.

Natural Law and Ethics

Natural law is not a complete moral system. It does not tell you to be kind, generous, or forgiving. It merely establishes the minimal conditions necessary for peaceful coexistence among self-owning beings. It tells you what you *may not* do (initiate aggression), not what you *must* do (respect thy neighbor).

But from this modest beginning, a flourishing ethical system can grow. Once aggression is forbidden, voluntary cooperation, charity, and friendship become possible. True morality, which arises from free will, not coercion, becomes achievable. In this sense, natural law is the foundation of all higher ethics. Without it, morality degenerates into mere obedience to power.

Modern politics has made a mockery of law. Governments parade their edicts as "laws" while simultaneously demanding obedience and punishing dissent, violating the very principles that make peaceful human coexistence possible. However, as long as human beings act, natural law remains. It binds kings and beggars, rulers and ruled, rich and poor alike. It cannot be voted away, legislated out of existence, or replaced with legal

fiction. Law is not what politicians say it is. Law is what reason and reality demand it must be.

As Bastiat so clearly understood, the real cost of coercion is often hidden from view. We see the taxes collected, the armies raised, and the programs funded, but not the opportunities destroyed, the wealth never created, or the peaceful exchanges that might have flourished. The unseen toll of violating natural law is the prosperity we never knew we lost. Freedom is not granted by governments. It is the birthright of every acting being. The only true law is natural law.



"It was in vain to sit still and wish for what was not to be had; and this extremity roused my application."

Punishment

The Moral Balance

In any society, conflict is inevitable. No matter how firmly *natural law* is understood, some individuals will still choose to initiate aggression. When that happens, how should justice be administered? What is **punishment**, fundamentally? What is its purpose? As usual, to answer these questions, we must return to the axioms of human action and reason outward from there.

Punishment, like all human behavior, is *action*. It is purposeful, goal-directed behavior aimed at achieving a specific end — namely, the rectification of injustice. It follows that punishment must conform to the same basic rules that govern all human action. It must not contradict the principles of self-ownership, property rights, or voluntary exchange, or it ceases to be justice and degenerates into yet more aggression.

Just as argumentation becomes mockery the moment the non-aggression principle is violated by one party, justice becomes aggression at a very specific point, too. At its core, punishment is an act intended to restore the moral balance disrupted by aggression. Punishment is not simply retaliation or venting anger, though history is teeming with examples of

rulers confusing the two. It is rather an attempt to correct a wrong by re-establishing the rightful order of property and responsibility in the world.

In praxeological terms, crime is a trespass: a wrongful appropriation or destruction of someone else's property, including the most fundamental property, one's own body. Punishment, properly understood, is the process by which the victim (or, in some cases, their legitimate representative) reasserts rightful control and reclaims what was taken or destroyed *or* inflicts an equivalent loss upon the aggressor to restore the balance of justice.

Restitution First, Retaliation Second

The first goal of punishment must always be **restitution**, in other words, to make the victim whole as far as possible. If a thief steals your cow, the first and obvious requirement is that the thief returns the cow. Suppose the cow had been eaten, sold, turned into hamburgers, or lost. In that case, the thief must compensate you for its value plus any further damages in order to achieve *restitution.*

It is only when *restitution* is insufficient that **retaliation** becomes necessary. *Retaliation* is not mere revenge. It is a form of restoring balance when full *restitution* cannot be achieved. It serves to reassert the principle that aggression carries inevitable and proportionate consequences.

Extending the tradition of natural law reasoning, Murray Rothbard proposed a clear and consistent standard for punishment: the aggressor owes his victim up to *double* the damage inflicted. At first glance, this might appear unnecessarily harsh, but bear with me as we break down the logic of tit-for-tat retaliation ethics.

Suppose a thief steals a loaf of bread. In a civilized order based on natural law, the thief would owe the victim two loaves: one to replace the stolen good *and* another as punishment for the aggression itself. If a mugger assaults you and robs you of $100, he owes you $200: the $100 he stole, plus another $100 for the violation of your rights.

Why double? Why not triple? Or a simple return of the stolen goods? Double repayment satisfies two conditions simultaneously:

1. **Full restitution** — making the victim whole.

2. **Proportional punishment** — ensuring that aggression carries a real, disincentivizing cost for the perpetrator beyond mere return *without* going too far and becoming aggression in itself.

Crime would be a rational gamble if a criminal merely had to return what he stole when caught. Therefore, punishment must be structured so that aggression is a *net negative* expectation for the aggressor. Not just morally wrong but economically irrational. Thus, Rothbard's double principle satisfies both ethical and praxeological necessities: it restores the victim and deters the criminal through logical proportionality.

The Bounds of Punishment

It's important to note that the Rothbardian framework for punishment is not based on utilitarian arguments about "the greatest happiness for the greatest number" or vague notions of "social harmony." Like all consequentialist reasoning, those ideas are fatally flawed because they rest on arbitrary, shifting standards.

The praxeological defense of punishment is rooted in something far sturdier: absolute, unapologetic property rights. Punishment exists to *rectify the invasion of property*, not to promote collective happiness. It is a logical consequence of the violation itself, not a political tool to be wielded for "public safety" or "state security."

Here, a common objection arises: "If we punish the criminal, aren't we committing aggression against him?" The answer is, of course, no. Aggression is the *initiation* of force against a rightful owner. Punishment is the *response* to aggression. In other words, it is an act of defense, not offense.

When a person violates another's rights, they place themselves outside the moral shield provided by property rights. By their action, they demonstrate that they do not respect the principle of non-aggression and thus cannot logically demand its protection for themselves, at least not until *restitution* has been made.

Punishment is *not* aggression. It is the logical restoration of rights. Only once restitution is complete and punishment is satisfied does the aggressor fully reclaim his standing under the protection of the law. But punishment, like all action, must have limits. If punishment exceeds what is necessary for restitution and proportional retaliation, carrying out the punishment itself becomes an act of aggression. Thus, punishment must be:

- **Proportional**: matching the gravity of the original offense.
- **Targeted**: aimed solely at the aggressor, not their family, friends, or countrymen.

- **Non-excessive**: no cruel or unusual punishments that violate the principles of bodily autonomy beyond what is necessary for justice.

The goal of punishment is not to terrorize, humiliate, or break human beings. It is to *restore the natural order that aggression disrupted.* Anything beyond that risks becoming a new form of injustice. Any opinion about what constitutes an "appropriate punishment" outside these boundaries is self-contradictory in the same sense as an argument against argumentation.

What about cases of murder? Can a murderer be executed under natural law? Praxeologically speaking, yes. The murderer has, by his own actions, annihilated another person's right to life and thereby forfeited his own. The victim cannot be restored, and therefore, restitution is impossible. Thus, retaliation, even to the point of life-for-life, is just.

However, this does *not* mean that capital punishment *must* be employed in every case. The victim's heirs or legitimate representatives may choose a lesser punishment, such as lifelong restitution or exile. Principled justice *permits* execution but does not *demand* it. The important part is that *the decision must always reside with those wronged*, not with politicians, judges, or bureaucrats.

Punishment Without the State

As with the law itself, punishment does not require a monopolistic state to be administered. Private courts, insurance companies, and defense associations can be *a priori* proven to handle restitution and punishment *at least* as fairly and effectively as centralized governments.

Under voluntary systems:

- **Victims** could seek restitution directly, with neutral arbitrators deciding proportional punishment.
- **Criminals** would face private blacklists, exclusion from economic networks, or even physical apprehension by private security firms — all without taxation, bureaucracy, or political corruption.
- Unlike government-funded courts, **insurance agencies** would have every incentive in the world to ensure justice is served *efficiently*, minimizing fraud, false accusations, and excessive retaliation.

The current state-dominated model of criminal justice, with police forces funded by taxes, prosecutors serving the state rather than victims, and prisons filled with nonviolent offenders, is not justice. It is legalized barbarism masquerading as civilization.

Imagine Robinson Crusoe and Friday again. In a fit of jealousy, suppose Friday burns Robinson's shelter to the ground. How would justice unfold? First, Friday owes restitution: the complete rebuilding of the shelter or something of equal value. But that might not be enough for Robinson. Simply replacing the destroyed good does not account for the aggression itself: the violation of Robinson's rights, the fear, the loss of time and security, and Robinson being forced into a state of higher time preference.

Thus, Friday would owe Robinson double: rebuilding the shelter (or equivalent value) and providing an additional equivalent in goods, labor, or service. Only by this standard can peace and moral order be restored. If Friday refused to comply, Robinson would be justified in escalating:

seizing Friday's goods, excluding him from cooperation, or, ultimately, incapacitating him until restitution was complete.

Modern legal systems have almost entirely abandoned these principles. Punishment today is less about restitution and more about spectacle. Prisons filled with people whose victims receive no compensation, harsh fines collected by governments rather than victims, and endless "war on crime" rhetoric used to expand state power. Not to mention all those imprisoned for victimless crimes. Victims are forgotten. Aggressors are sometimes coddled and sometimes brutalized, depending on political expediency. The result is a monstrous perversion of real justice.

Under true natural law, every punishment would aim to restore the victim first, deter future aggression second, and avoid creating new injustices third. True justice does not require a throne or a gavel. It requires only recognition of the fundamental truth that the right to be left alone exists, that violations must be rectified, and that punishment must be *proportionate*, not political.

The praxeology of punishment shows us that real justice is simple, logical, and, most importantly, *universal*. It is not a tool for rulers to command obedience but a bulwark for every individual against aggression. As with all great truths, it does not need to be invented. It needs only to be *remembered*. Civilization itself depends on it.



"It is never too late to be wise."

What About the Roads?

Utopia

If you've followed along on this journey of first principled thinking all the way to this chapter, you may have concluded that humanity ought to abandon the idea of the state altogether and start coexisting peacefully. While it is true that this would be universally preferable to any world where a coercive state still exists, it is important to remember that a worldwide *anarcho-capitalist* utopia is an imaginary construct.

Anarcho-capitalism is the commonly used term for the political philosophy that arises from the non-aggression principle and absolute private property rights. In other words, it is a natural extension to praxeological thinking.

Since the non-aggression principle does not allow coercive means to bring such a world into reality, the idea of "Ancapistan" is just as unrealistic as any other attempt to refute a praxeological axiom. However, it is always *directionally* correct to oppose state aggression if one believes the non-aggression principle to be a moral standard worthy enough to stand up for at all times. And, as we've learned, all arguments against this position are inherently oxymoronic and logically inconsistent.

Still, whenever someone first encounters the idea of abandoning the state altogether, the same tired objection almost inevitably arises every time:

"But what about the roads?"

The "roads" objection is rarely about roads. It is the terrified cry of a mind conditioned to equate stability with control, order with coercion, and civilization with authority. It's the anxiety of someone peering into a world where human cooperation is voluntary instead of mandatory who sees chaos rather than possibility. It's important to realize that these objections do not spring from careful reasoning. They are defensive reactions to fear. Fear that without rulers, humans will devolve into savages. Fear that no one would lift a finger for their fellow man without centralized force. Fear that freedom is synonymous with violence and decay.

Fear, not logic, is what underpins most criticisms of freedom. Rules do not require rulers. Chess, for instance, is a game that has existed for millennia without a single self-appointed ruler deciding its fate. People engage with it *voluntarily* — without coercion. There is little reason to believe that all aspects of human society couldn't function the same way.

To understand why "what about the roads?" is the wrong question, we must first accept that anarcho-captalism, properly understood, is not a political stance in the usual sense. It is not a demand for a particular set of rulers over another, nor is it a call for replacing bad laws with better ones or electing "the right people" to manage the machinery of power.

Anarcho-capitalism is better understood as a lens, a method of viewing the world through the uncompromising truths of human action:

- That humans act purposefully to improve their condition.
- That only consensual interaction can yield win-win results.
- That absolute property rights are the logical precondition for peaceful cooperation.

It is not about creating a better government. It is about recognizing that the very premise of government (a monopoly on violence) is incompatible with the fundamental principles of human flourishing.

This lens does not blur or soften the view of humanity but sharpens it. It shows people for what they are: deeply flawed, sometimes foolish, yet fundamentally capable of incredible creativity, decency, and progress when left free to act. It is not blind optimism. It is realism. It is hope placed where it belongs, not in institutions but in people.

Hope Over Fear

The Shawshank Redemption is one of the clearest modern parables of the human spirit ever committed to film. The film depicts Shawshank prison, a brutal, corrupt institution that grinds men down, strips them of their dignity, and teaches them that survival means obedience. Many of the prisoners, like the long-term inmate Brooks Hatlen, become so institutionalized that they cannot imagine life beyond the prison walls. They confuse the walls for safety. They confuse

the routine of captivity with civilization itself. When Brooks is finally freed, he cannot handle the freedom. It terrifies him. He ends his life because, in a tragic sense, the cage had become his world.

By contrast, the film's protagonist, Andy Dufresne, refuses to surrender his mind despite being falsely imprisoned and abused. He refuses to internalize the logic of Shawshank. He understands something crucial: that *hope is a decision*, an act of will.

> *Hope is a good thing, maybe the best of things. And no good thing ever dies.*

Andy patiently plans, labors, dreams, and quietly digs an escape tunnel for decades, not because he expects an immediate reward but because he knows that the alternative to hope is despair.

Early in the film, Andy's fellow inmate and later best friend, Red, warns Andy that hope is a dangerous thing."*Hope can drive a man insane,*" he says grimly, speaking with the weary voice of someone who has long since accepted Shawshank as the sum total of reality. To Red, hope is not a virtue; it is a poison. But Red is wrong. Not because his logic is faulty, since in a world ruled by arbitrary violence, hope actually *is* dangerous, but because the choice to live without hope is even more dangerous. Red's despair is the natural consequence of high time preference thinking: the belief that immediate survival is all that matters because the future is beyond imagination. It is only when Red finally *chooses* to hope that he is able to reclaim his humanity. Andy teaches Red through his *actions*, not his words. By showing that hope is not insanity but is the quiet act of rebellion that keeps a man free even inside his cage.

Both hope and despair are dangerous because both can kill you. But here's the deeper truth: *you are going to die either way*. Time is a one-way road, and no amount of fear or false security can change that. Fear, despair, and submission to hopelessness merely ensure that you die long before your body quits. They suffocate the mind, erode dignity, and make men complicit in their own cages. Hope, by contrast, keeps the fire alive. It keeps us human.

In the end, life itself is a gamble between two kinds of death: the slow, soul-suffocating death of *fear* or the bright, defiant death of *hope*, whether fulfilled or betrayed. From first principles, it's clear that since human action always aims to replace uneasiness with a better state, hope is not irrational but *essential*. Hope sustains low time preference. Hope makes saving, planning, dreaming, and working worthwhile. Hope says: "Even if Shawshank surrounds me, I will still act toward a better end." And in that choice — the choice to *act* rather than to surrender — lies the ultimate proof that human beings are not slaves by nature. We are slaves by *consent*.

The Shawshank Redemption is not just a prison story. It is the story of all human life. We are all born into a system not of our making. We are all, in some sense, trapped in cages built by fear, ignorance, and institutional inertia. The question is not whether the walls exist. The question is how we respond to them.

Hope is the response of the individual who adopts a low time preference. Hope is what makes delayed gratification possible. It is what makes building cathedrals, planting orchards, raising families, and writing books possible. Fear sees only the walls and the guard towers. Hope sees the field beyond.

The Pen, the Sword, and the Roads

Those who demand to know "What about the roads?" reveal a deeply embedded despair, not a careful philosophical objection. They are Brooks Hatlen, clutching at the walls of Shawshank, fearful that if they ever step outside, chaos will consume them. Like the lion at the zoo, they prefer the imposed stability of the prison to the limitless possibilities of freedom.

Order emerges naturally when people are free to trade, cooperate, and innovate. Roads are built not because a king commands them but because people have places they want to go. Bridges span rivers not because bureaucrats draft five-year plans but because merchants want to reach new markets and families wish to reunite. The roads of history were built long before the modern state existed by merchants, tribes, monasteries, guilds, and private ventures. Trade routes crisscrossed continents. Civilization flowered where voluntary cooperation was strongest, not where government road commissions held sway.

The "What about the roads?" objection is as absurd as asking, "Without kings, who will bake the bread?" People will. Freely. Better. Cheaper. And more beautifully. The pen is mightier than the sword, not because the ink is stronger than steel, but because reason reaches where violence cannot. Coercion can force obedience, but it cannot create cooperation. This is why argumentation, in the most profound sense, is mightier than coercion. Not just morally mightier but practically so. The pen builds civilizations. The sword only conquers them.

From first principles, we *must* conclude that hope is the rational choice. If humans act purposefully to improve their

condition, then despair is not only a moral failure but a logical error. Hope is appropriate because human beings are, by their very nature, capable of learning, adapting, and cooperating. Hope is not naivety. It is the recognition that despite ignorance, violence, and greed, the capacity for voluntary action remains.

No matter how tightly the state builds its Shawshank walls, the human spirit is already tunneling through them. Quietly. Patiently. Irreversibly.

Final Thought

When someone asks, "What about the roads?", smile. Understand that they are not asking a question, but confessing a fear. And your task, *our task*, is not to mock that fear but to show them the truth that lies beyond it:

That the world runs not on edicts but on actions, not on violence but on voluntary exchange, not on despair but on hope. That true liberty is not a dream but a reality, patiently waiting beyond the prison walls. Walls that are only there because we allow them to be. Freedom is not an abyss but an open field.

Get busy living, or get busy dying.



"Upon the whole, here was an undoubted testimony that there was scarce any condition in the world so miserable but there was something negative or something positive to be thankful for in it."

Conclusion

Purposeful Knowledge

Human action is purposeful behavior, and praxeology is the study of human action. It gives you insights into how practically everything in human society works and points out the limits of what we can and cannot know about ourselves and our interactions.

The conclusions drawn from praxeology may paint a bleak picture of the present state of human affairs, but accepting reality is always a necessary precursor to knowledge. Moreover, praxeology can expose the true nature of governments and the violence lurking behind every "public good." It also explains how much of a force for good the free market process truly is.

Praxeology illuminates how humans cooperating voluntarily for selfish reasons ultimately brings prosperity and abundance to all. It is not institutions that create wealth, but individuals acting with intent, each seeking to improve their lot and, through that, inadvertently improving the world around them.

Praxeology can kindle hope in the hearts of cynics, revitalizing their appreciation for other people, even in a world where coercion still looms large. Every supermarket clerk, every car mechanic, every cleaning lady, and even every YouTuber plays their part in the market process. Every real interaction, every honest trade, every voluntary agreement stands as a tiny act of rebellion against the coercive structures that want to define civilization by decree.

Even public sector employees, though constrained by the distortions of taxation and monopoly, still act purposefully and still bring value through their labor, albeit within a framework that often misallocates their talents. A firefighter doesn't cease to act nobly because his paycheck is forcibly funded. A teacher does not cease to spread light because her salary comes through bureaucratic channels. They still participate in human action. Only the incentives framing their choices have been twisted.

At different stages of our lives, we are all producers, consumers, capitalists, and entrepreneurs. Every time you study for an exam, plant a garden, mend a friendship, or save for the future, you are speculating. You are investing scarce resources, like time, energy, and love, into an uncertain future, hoping for a payoff you cannot guarantee. In this sense, every human being is an entrepreneur. You don't need to own a business to embody the entrepreneurial spirit; you need only to act in the face of uncertainty. Even in uncertainty, choosing to act is the triumph of hope over fear and the essence of human life itself.

As we discussed when exploring time preference, every choice you make is a gamble that your future self will thank you for not surrendering today. Hope is built into every breath you take when you aim for something higher than mere survival. In this light, the cynics who mock voluntary society,

who sneer "What about the roads?" or scoff at the idea that decency could survive without shackles, are revealed not as realists but as the most naïve dreamers. They place their hope not in people but in systems of violence. They trust the cage over the human spirit.

We have seen how government monopolies distort, decay, and destroy. We have seen how coercion cannot produce creativity, only compliance. But alongside these bleak truths stands a more important one: that voluntary action, *even in the shadow of violence*, continues to create, heal, and uplift. Despite the cages, we build. Despite the taxes, we trade. Despite the surveillance, we sing and dance.

We have no choice but to try to improve our lives out of our own free will. Acting on purpose is what being human is. So mind your own business, don't steal, and start doing something, not because a law commands it, but because human flourishing demands it. Cooperation needs no rulers. Only action. Only courage. Only hope.

This is the way. Excelsior!

About the Author



Knut Svanholm is a Bitcoin author, educator, armchair philosopher, international village idiot, and rock star. His first work, '*Bitcoin: Sovereignty through Mathematics*,' is widely regarded as a classic in the space, earning recognition as a recommended read on numerous educational platforms, including Strategy's Bitcoin site hope.com.

However, Knut's influence extends beyond his written contributions; he is credited with coining the popular meme 'Everything Divided by 21 Million,' a phrase that encapsulates the scarcity and mathematical principles underpinning Bitcoin.

Armed with various superpowers, such as an ability to channel the power of dad jokes and going into "rant mode" at will, Knut dedicates his time to advising a select group of Bitcoin companies and hosting 'The Bitcoin Infinity Show,' a thought-provoking podcast exploring Bitcoin philosophy and its implications for individual sovereignty.

Knut's other works include:

Bitcoin: Sovereignty Through Mathematics (2019)

Bitcoin: Independence Reimagined (2020)

Bitcoin: Everything Divided by 21 Million (2022)

Bitcoin: The Inverse of Clown World (with Luke de Wolf, 2024)

Further Reading

Human Action by Ludwig Von Mises

The Ethics of Liberty by Murray N. Rothbard

Anatomy of the State by Murray N. Rothbard

Economic Science and the Austrian Method
by Hans-Hermann Hoppe

The Sovereign Individual
by William Rees-Mogg & James Dale Davidson

The Austrian School for Investors
by Rahim Taghizadegan & Ronald Stoferle

The Price of Tomorrow by Jeff Booth

1984 by George Orwell

Brave New World by Aldous Huxley

Atlas Shrugged by Ayn Rand

The Life and Adventures of Robinson Crusoe by Daniel Defoe